

FEATURING  
NEW MATERIAL



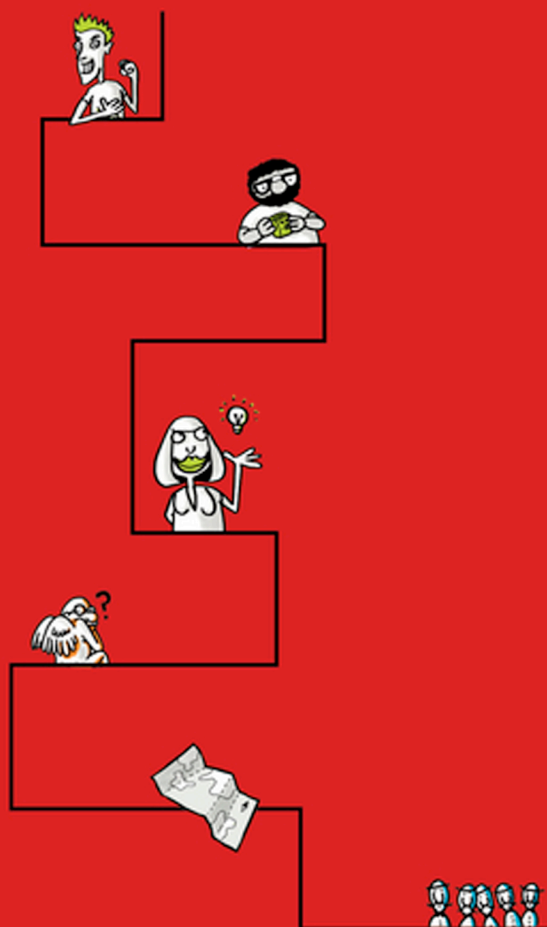
Disciplined  
Entrepreneurship  
Canvas

Primary  
Market Research  
Guide

Windows  
of Opportunity  
and Triggers



# DISCIPLINED ENTREPRENEURSHIP WORKBOOK



**BILL AULET**

MANAGING DIRECTOR,  
MARTIN TRUST CENTER FOR MIT ENTREPRENEURSHIP

**WILEY**

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# PREFACE

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**THE ORIGINAL DISCIPLINED ENTREPRENEURSHIP** book laid out a rigorous but practical pedagogy for innovation-driven entrepreneurship. It has fundamentally changed the course of entrepreneurship education from a storytelling approach to a toolbox and systematic framework. But there is only so much that can be accomplished in a single 250-page book. This workbook builds off *Disciplined Entrepreneurship* to provide a way to more easily engage with the 24 Steps.

Our goal at the Martin Trust Center for MIT Entrepreneurship is to develop high-quality entrepreneurship education and make it accessible, not just to MIT's full-time students but also to millions of people worldwide. That is why I wrote *Disciplined Entrepreneurship*, taught several online courses on edX, and with my colleagues write online articles and tools to help clarify key concepts about our methodical approach to entrepreneurship.

The demand from entrepreneurs and instructors for additional materials to help them implement the 24 Steps has been simultaneously rewarding and overwhelming. There needed to be a more scalable solution, and that is the purpose of this workbook.

In this book, I provide templates and additional advice on how to implement each of the 24 Steps. You can use these templates on your own startup or as classroom deliverables to assess your students' understanding of the topics. This workbook is not a replacement for *Disciplined Entrepreneurship* but rather a complement to it. It is expected that you will go back and forth between *Disciplined Entrepreneurship* and this workbook in order to gain a full understanding of each step.

The 24 Steps is an iterative process, so always make sure you are proactively revising your work as you go through the steps. Something that you do in Step 23 is likely to affect Step 11, or Step 9 will affect Step 5, and so on. Also, do not feel confined by these templates if you need to make some modifications to better suit the needs of the industry or specific characteristics of your startup.

The 24 Steps approach is a toolbox of the best methodologies available for entrepreneurs, and I continually evolve it and survey the landscape to take in new and/or better tools to improve the framework. You'll see two new chapters in this workbook, one on primary market research and another on windows of opportunity and triggers. I hope that many others around the world will continue to test and contribute to the 24 Steps to make the framework even better over time. The collective wisdom of the community is better than any individual—plus many hands make for lighter and faster work.

Since the time I first published *Disciplined Entrepreneurship*, it has become even more clear that we need high-quality, rigorous entrepreneurship education and training sooner rather than later. The critical need for a serious body of knowledge on innovation-driven entrepreneurship has never been greater—and it will only get more so in the future. Please “lean in,” as Sheryl Sandberg would say, and help us with this cause.

Additional materials, including electronic versions of some of the worksheets herein, will be available at [www.disciplinedentrepreneurship.com](http://www.disciplinedentrepreneurship.com).

# INTRODUCING THE DISCIPLINED ENTREPRENEURSHIP CANVAS

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**THIS IS NEW MATERIAL** that was not covered in *Disciplined Entrepreneurship*. The Canvas is a tool you will fill out as you go through the 24 Steps.

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## WHAT IS THE DISCIPLINED ENTREPRENEURSHIP CANVAS, AND WHY IS IT IMPORTANT?

The Disciplined Entrepreneurship Canvas is a one-page overview of the Disciplined Entrepreneurship approach to entrepreneurship. The Canvas functions like a synopsis of your current status so you can see what you have done and what you have not done, across 10 major areas that map to the 24 Steps.

I have seen the value in life of having a concise visual that gives a team feedback on their progress in the midst of the battle. I have also seen entrepreneurs building workarounds for just this function when trying to use the Disciplined Entrepreneurship approach, so there is clearly value in tracking your progress on the long journey through the 24 Steps.



*The Disciplined Entrepreneurship Canvas will allow you to quickly assess the big picture of where you stand, and where your strengths and weaknesses are, so you can make adjustments.*

## HOW TO APPROACH THE DISCIPLINED ENTREPRENEURSHIP CANVAS

As Disciplined Entrepreneurship has been broadly deployed, a frequent question I get is how to integrate the 24 Steps framework with the Business Model Canvas made popular by *Business Model Generation* by Alexander Osterwalder and Yves Pigneur. In fact, before I wrote *Disciplined Entrepreneurship*, I used to use in my classroom the Business Model Canvas and then the Lean Canvas by Ash Maurya, but I did not find an easy, suitable way to integrate them with teaching the 24 Steps.

As nature abhors a vacuum, numerous people have constructed their own canvases for the Disciplined Entrepreneurship framework, led by Laurie Stach (MIT Launch), Floriano Bonfigli (Istituto Adriano Olivetti Business School—ISTAO Startup Lab), Patrick Kirby (Michelin—vice president of innovation and entrepreneurship), Johannes Mutzke (Michelin—Global Innovation Council), Mateo Nakach and Jorge Sanchez (Build-Your-Business Consulting Group), and Michael McCausland (Leadership Institute for Entrepreneurs).

They have pushed and inspired me to see the value of a one-page canvas that shows how you are doing. In sports, a coach often tracks progress in the game in a summary fashion and then conveys key information to his team on what they are doing well and what they need to focus more on if they are to win the game. A basketball coach's synopsis, for instance, will not only have the score but also the time left in the game, how many fouls each team and each player has, and other key indicators. Likewise, an entrepreneurship canvas gives you the big picture in one snapshot and allows you to see what you need to work on.

The simple summary does not capture the full richness of your situation, and as such it is not a perfect indicator of your success. Nor does the simple summary tell you why things have happened and how to fix things. So while it is limited in its usefulness, it does have the benefit of simplicity.

I have based the Disciplined Entrepreneurship Canvas off the Six Themes of the 24 Steps from *Disciplined Entrepreneurship*, expanding two of the themes and adding two more sections. The resulting Canvas maintains the specificity, logic, and rigor of the 24 Steps.

More so than other canvases, this canvas has a suggested initial sequential nature to it. You should start with Section 1 and then follow the arrows to move through the canvas. There should also be iteration, but providing a general prescriptive initial flow is helpful and an important part of the Disciplined Entrepreneurship approach.

Turn to page xviii to see the Canvas. Each section maps quite well to specific steps:

**Section 1, Raison d'Être (aka Reason for Existing):** Step 0

**Section 2, Initial Market:** Steps 1, 2, 3, 4, 5, and 9

**Section 3, Value Creation:** Steps 6, 7, and 8

**Section 4, Competitive Advantage:** Steps 10 and 11

**Section 5, Customer Acquisition:** Step 12, 13, and Windows of Opportunity/Triggers

**Section 6, Product Unit Economics:** Steps 15, 16, 17, and 19

**Section 7, Sales:** Step 18

**Section 8, Overall Economics:** Step 19 (parts)

**Section 9, Design and Build:** Steps 20, 21, 22, and 23

**Section 10, Scaling:** Steps 14 and 24

The fit between the steps and the Canvas is not perfect, but it still produces a framework that is useful and ties into the worksheets and additional information in this workbook.

When I used other canvases in my classroom, the frameworks were helpful, but they often needed to be customized. I would likewise encourage you to think of the Disciplined Entrepreneurship Canvas below not as a fixed edict, but rather as a framework that can be customized as appropriate. If it does not quite fit, that is okay. Go ahead and customize it, but it should at least give you a good start.

**Note:** Filling out the Disciplined Entrepreneurship Canvas fully requires expertise that you will gain from reading both *Disciplined Entrepreneurship* and this workbook. Do not be discouraged or frustrated that you don't know how to fill out all the sections at first. It will be a good guide for you to make sure you have absorbed all the material in both books. Fill out what you can and then continually update it as you learn more.

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## EXAMPLE OF USING THE DISCIPLINED ENTREPRENEURSHIP CANVAS WITH FEEDBACK

Old friend and master illustrator of this book, Marius Ursache, offered to test-drive the Canvas for his project, the Disciplined Entrepreneurship Toolbox ([www.detoolbox.com](http://www.detoolbox.com)). I should note that the 24 Steps framework has been used not just for startups but for projects/product design and development in large corporations, government organizations, investment situations, community organizations, educational institutions, religious groups, student clubs, and even creative arts groups. Once it was used for a piano concert. (Thanks for letting us know, Amanda von Goetz!)

Turn to page xix to see his first draft of his Canvas. Below are my comments on it so that you can see what you should be considering when you fill out your Canvas. Marius's draft is quite good, so I will focus my comments on where it could be improved, as well as how the Canvas will help Marius discover where he should focus his attention next:

1. **Raison d'Etre:** The founder passions, values, initial assets, and initial idea are good and can be refined, but the real area I would focus on is the mission. It is too general and is not really unique or inspiring. Having a clear mission is valuable for two reasons—it shows why the world will be a better place thanks to your venture, and equally important, it tells you what you will *not* be doing. This guidance on what you will be not doing will help you to get the right people on your team. To build a successful team you need three things: a common vision, shared values, and complementary skills. As you can see, it starts with common vision, so clarity on why you are in business is fundamental to your success in an environment that will be fraught with failure and other discouraging moments. That common vision keeps you marching on.
2. **Initial Market:** Again, there is lots to like in the End User Profile, TAM, and Next 10 Customers. The Beachhead Market and Persona draw my attention and concern. First, I worry that the Beachhead Market is two different markets. There cannot be a plural of Beachhead Market. Second, I worry even more that there is no Persona. I know picking a Persona can be a bit

# The Disciplined Entrepreneurship Canvas

PRODUCT \_\_\_\_\_ REVISION \_\_\_\_\_ DATE \_\_\_\_\_

|                                                                                                                                                                   |                                                                                                                                                                                             |                                                                                                                                                                                                                                                                     |                                                                                                                                                                                         |                                                                                                                                                                                        |
|-------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <p><b>1 Raison d'Être</b><br/><i>Why are you in business?</i></p> <p>Mission:</p> <p>Passion:</p> <p>Values:</p> <p>Initial Assets:</p> <p>Initial Idea:</p>      | <p><b>4 Competitive Advantage</b><br/><i>Why you?</i></p> <p>Moats:</p> <p>Core:</p> <p>Competitive Positioning:</p>                                                                        | <p><b>5 Customer Acquisition</b><br/><i>How does your customer acquire your product?</i></p> <p>DMU:</p> <p>Process to Acquire Customer:</p> <p>Windows of Opportunity:</p> <p>Possible Triggers:</p>                                                               | <p><b>8 Overall Economics</b><br/><i>Does your product make money?</i></p> <p>Estimated R&amp;D Expenses:</p> <p>Estimated G&amp;A Expenses:</p> <p>LTV/COCA Ratio High Enough:</p>     | <p><b>9 Design &amp; Build</b><br/><i>How do you produce the product?</i></p> <p>Identify Key Assumptions:</p> <p>Test Key Assumptions:</p> <p>MVBP:</p> <p>Tracking Metrics:</p>      |
| <p><b>2 Initial Market</b><br/><i>Who is your customer?</i></p> <p>Beachhead:</p> <p>End User Profile:</p> <p>TAM:</p> <p>Persona:</p> <p>First 10 Customers:</p> | <p><b>3 Value Creation</b><br/><i>What can you do for your customer?</i></p> <p>Use Case:</p> <p>Product Description:</p> <p>Problem Being Solved:</p> <p>Quantified Value Proposition:</p> | <p><b>6 Product Unit Economics</b><br/><i>Can you make money?</i></p> <p>Business Model:</p> <p>Estimated Pricing:</p> <p>Short Term LTV:</p> <p>Short Term COCA:</p> <p>Medium Term LTV:</p> <p>Medium Term COCA:</p> <p>Long Term LTV:</p> <p>Long Term COCA:</p> | <p><b>7 Sales</b><br/><i>How do you sell your product</i></p> <p>Preferred Sales Channel:</p> <p>Sales Funnel:</p> <p>Short Term Mix:</p> <p>Medium Term Mix:</p> <p>Long Term Mix:</p> | <p><b>10 Scaling</b><br/><i>How do you scale your business?</i></p> <p>Product Plan for Beachhead:</p> <p>Next Market:</p> <p>Product Plan beyond Beachhead:</p> <p>Follow-on TAM:</p> |

# The Disciplined Entrepreneurship Canvas

PRODUCT: DE Toolbox      REVISION: 1.0      DATE: October 20, 2016

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|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <p><b>1 Raison d'Être</b><br/><i>Why are you in business?</i></p> <p><b>Mission:</b> Help more startups around the world to become successful, and improve lives, fix unemployment, and grow economies. Help more people to invest in startups in a smart way.</p> <p><b>Founder passions:</b> Startups and innovation, teaching, interacting with smart people.</p> <p><b>Values:</b> transparent, competitive, fair play.</p> <p><b>Initial Assets:</b> Team (Marius &amp; Vlad), connections (Bill Aulet, MIT, accelerators), current users (5000+ for current product).</p> <p><b>Initial Idea:</b> Online tool to help startups accelerate and get funded.</p>                                                                                                                                                                              | <p><b>4 Competitive Advantage</b><br/><i>Why you?</i></p> <p><b>Moats:</b> Network effect (both startups/accelerators use it).</p> <p><b>Core:</b> We match the best startups with the best accelerators/investors, and help them work smarter together.</p> <p><b>Competitive Positioning:</b> Better productivity than AngelList, F&amp;S. Focused on process more than Visible, FounderSuite, Gust.</p>                                                                                                                                                                                                                                                                                                                                                                                            | <p><b>5 Customer Acquisition</b><br/><i>How does your customer acquire your product?</i></p> <p><b>Decision Making Unit:</b><br/>A. Founders &amp; Chief Product Officers<br/>B. Sponsor: CIO/CTO or Managing Director of accelerator. Decision: managing team.</p> <p><b>Decision Making Process:</b><br/>A. Start trial, share with team, add data, discuss with team before trial expiration.<br/>B. Analyze features &amp; cost for tools, contact suppliers, negotiate &amp; sign (4-6 mo).</p> <p><b>WoOs:</b><br/>A. Apply to accelerator, prepare for fundraising<br/>B. New generation/new fund (twice per year) or change in leadership</p> <p><b>Possible Triggers:</b><br/>B. Discounts, sales rep meetings or events.</p> | <p><b>8 Overall Economics</b><br/><i>Does your product make money?</i></p> <p>Est R&amp;D Exp: \$50,000<br/>Est G&amp;A Exp: \$24,000<br/>LTV/COCA Ratio: 20:1 / 7:1</p>                                                                                                                                                                                                                                                                                                                                                                                                                                     | <p><b>9 Design &amp; Build</b><br/><i>How do you produce the product?</i></p> <p><b>Key Assumptions:</b><br/>1. Startups will use the tool recurrently.<br/>2. Accelerators need a better tool to source startups (than F&amp;S/AngelList/Google Forms) and manage the acceleration process (than Google Docs/Slack/Email).</p> <p><b>Assumption Tests:</b><br/>1. Simplify tool (not linear, iterative/depth)<br/>2. Try selling a prototype/slideware.</p> <p><b>MVPB:</b><br/>1. Current product with subscription<br/>2. Presentation/prototype for accelerator features</p> <p><b>Tracking Metrics:</b><br/>1. Retention for startups<br/>2. Number of paying startups<br/>3. Number of paying accelerators</p> |
| <p><b>2 Initial Market</b><br/><i>Who is your customer?</i></p> <p><b>Beachhead Market:</b><br/>A. Early-stage founders who want to improve their startup's chances to fundraise.<br/>B. Accelerators outside Silicon Valley who want to improve their process and outcomes.</p> <p><b>End User Profile:</b><br/>A. Tech founders outside major US startup hubs with an idea or product but no revenue.<br/>B. Smaller accelerators who have trouble getting good deals and accelerating them properly.</p> <p><b>TAM:</b> 1M tech founders outside US (\$100M).<br/>5,000 smaller accelerators (\$30M).</p> <p><b>Persona:</b> TBD</p> <p><b>10 Customers:</b> WVP Academy (RO), NUMA (FR), MITEF Poland (PL), IncubateUPRO (CL), UDD Ventures (CL), Magical Startups (CL), Eleven (BG), HUSart (IL), MadeInJLM (IL), AccelerateKorea (KR).</p> | <p><b>3 Value Creation</b><br/><i>What can you do for your customer?</i></p> <p><b>Use Case:</b><br/>A. Learn about the biz side of your startup, apply it using a vetted process (DE24) &amp; online tools.<br/>B. Recruit better startups, engage more mentors, accelerate startups faster, get them funded.</p> <p><b>Product Description:</b> Process &amp; toolbox for founders &amp; accelerators—marketplace.</p> <p><b>Problem:</b><br/>A. Founders lack guidance and tools to help them be more disciplined on the business side.<br/>B. Accelerators' "spray and pray" strategy does not yield too many successful startups.</p> <p><b>Quantified Value Proposition:</b><br/>A. Move faster. Get funded faster.<br/>B. Get better deals. Get better follow-on investments for startups.</p> | <p><b>6 Product Unit Economics</b><br/><i>Can you make money?</i></p> <p><b>Business Model:</b> Subscription model for both startups &amp; accelerators.</p> <p><b>Pricing:</b> \$15/mo per startup</p> <p><b>Short term LTV:</b> \$200 / \$15,000<br/><b>Short term COCA:</b> \$10 / \$2,000</p> <p><b>Medium term LTV:</b> \$250 / \$25,000<br/><b>Medium term COCA:</b> \$7 / \$1,750</p> <p><b>Long term LTV:</b> \$275 / \$32,000<br/><b>Long term COCA:</b> \$5 / \$1,500</p>                                                                                                                                                                                                                                                    | <p><b>7 Sales</b><br/><i>How do you sell your product?</i></p> <p><b>Preferred Sales Channel:</b><br/>A. Website<br/>B. Direct sales</p> <p><b>Sales Funnel:</b><br/>A. Search online—Read features &amp; testimonials—Create trial—Add data in app—Receive trial end email—Discuss with team—Buy.<br/>B. Search tools/get referrals—Analyze features—Discuss with sales reps—Discuss with team—Negotiate—Sign contract—Buy.</p> <p><b>Short Term Mix:</b> Email newsletter, event presentations, inbound, direct sales.</p> <p><b>Medium/Long Term Mix:</b> Event presentations, inbound, direct sales.</p> | <p><b>10 Scaling</b><br/><i>How do you scale your business?</i></p> <p><b>Product Plan for BHM:</b> ???</p> <p><b>Next Market:</b> Universities, Angel groups</p> <p><b>Product plan beyond BHM:</b> Marketplace</p> <p><b>Follow-on TAM:</b> 100,000 angels (\$1B).</p>                                                                                                                                                                                                                                                                                                                                                                                                                                             |



uncomfortable and you will not find the perfect one to start, but Marius should pick the best one he has and then execute the process with it and look to upgrade the Persona over time.

3. **Value Creation:** There is a great deal of information to be summarized in this box and it is a real challenge. I worry that the very important use case is so truncated that it is not clear how well this has been developed. Likewise, the other three items have to be summarized in such a compact way, so while they seem encouraging I have a lot of questions. I definitely want to see the product brochure. But all in all, good. At this point, I am starting to see that the two Beachhead Markets defined in the Initial Market section *may* be intractably linked, and rather than two separate markets, they could *possibly* be seen as a two sided-market. This would be an area I would ask a lot of questions about.
4. **Competitive Advantage:** In the moats section, Marius lists “network effect,” but I think that is actually the Core. What Marius lists for the Core definitely is not a Core, but rather is the benefit that customers will get. A Core is an internal capability you will have that is unique or much stronger than anyone else. I worry when I see network effect as a Core because while it can be a great one, it is rarely achieved. And if is not achieved, then the company has no defensible advantage over others, who will be able to follow you into the market at a lower cost by learning from the first mover’s mistakes.
5. **Customer Acquisition:** The Decision-Making Unit (DMU) seems to be to be too simplistic (although I like that he has identified the chief product officer). Who are the DMU’s primary influencers? The Decision-Making Process is too simplistic and does not address creating awareness with the target market enough. The windows of opportunity are a good start, but the possible triggers section is not developed in any creative way. This section, like much of the Canvas (and like what I’d expect for a first pass on any canvas), is too general and lacking in specifics to this situation.
6. **Product Unit Economics:** I like that these are general estimates and that they do not try to convey a level of precision that is not attainable at this point. The short-term Cost of Customer Acquisition (COCA) of \$10 seems absurdly low to me and I am confident that upon closer evaluation, Marius will find this number to be much higher, which is expected in the short term. It would be extremely unusual to see a short-term Lifetime Value (LTV) of \$200 with only a short-term COCA of \$10, or a short-term LTV of \$15,000 with a short term COCA of only \$2,000. This immediately makes me discount the medium term and long term where I am confident that the COCA is still too low. But if the LTVs are to be believed, the business will be able to handle the actual COCA. Notice how easy it is to get a sense of the business from just a few numbers!
7. **Sales:** Oh my goodness! With the very low COCA from the previous section, I expected to see no direct sales channel utilization in this section (forgoing direct sales is risky in the short term), but there it is as the second option. He’ll really need to think about how to minimize use and cost of direct sales (likely use inside sales instead of field sales, for starters) and to use other sales methods to keep COCA down. Maybe he can do online chat sales early on so that inside sales is more affordable. I think “robo-sales” using big data analysis and preference engines is probably the way to go. I am feeling even less confident about the COCA calculations now, and I would dig deeper to make sure the unit economics model gets refined. The mentality of the organization needs to be more focused on designing the sales process to have no human interaction from the company’s side in the near future, so that the COCA does not grow out of control.

8. **Overall Economics:** The R&D expense and the G&A expense items seem reasonable since the work is being done in Romania, not the United States, but the LTV/COCA ratio still bothers me because I think the actual COCA is higher. However, this part of the Canvas shows me that if the LTV is accurate, there is room for the COCA to be higher and still have an economically sustainable and attractive business entity.
9. **Design & Build:** The key assumptions are too few and too general. The assumption tests do not yet line up with the key assumptions. The Minimum Viable Business Product (MVBP) is already up and running, so there is valuable information that can be gained from this investment so far. The tracking metrics are generally correct, but are also more general than I would like to see; for example, they do not have a time frame indicated.
10. **Scaling:** What Marius put here is very general, but that is not as much a problem as it would be in the other sections, because you won't have much clarity this early on. That being said, Marius should keep an eye on this section going forward and update it quarterly based on new information, which will be coming in as he engages in the market and learns from iterations on earlier steps.

# STEP 0

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## How Do I Get Started? Should I?

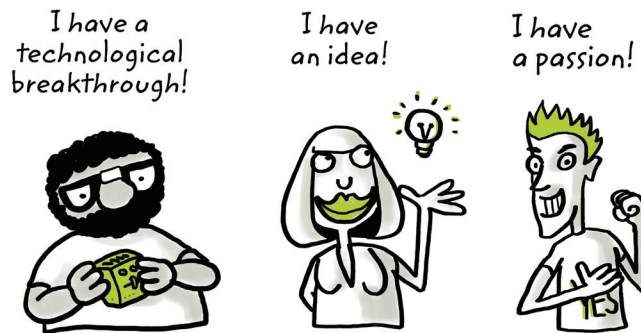
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**B**efore you start this 24-step journey, you first want to know two things:

1. Do I want to start a company?
2. Do I have an idea or technology that I can do a Market Segmentation on (Step 1)?

Starting a company is not easy—it's the exact opposite. It will be really, really difficult and humbling throughout the journey. So do you really want to start a company? How do you optimize your chances of reaching a satisfying reward at the end? What kind of preparation do you need so that you start out with your eyes wide open, fully understanding what a startup entails and having done everything you can to increase your odds of success?

**By the Book:** See pages 15-21 of *Disciplined Entrepreneurship* for basic knowledge on this step.



*Three ways  
to start a new venture*

In Step 0 of *Disciplined Entrepreneurship*, I said that people interested in entrepreneurship typically either have an idea, a technology, or a strong interest in entrepreneurship. I discussed how someone without an idea or technology can think about what knowledge and skills they have and what ideas/technologies might flow from there.

Here, I emphasize unequivocally that if you're looking to radically impact the world, you need not just an idea or technology, but you also need a passion to keep going through good times and bad. You'll also need cofounders who can help round out the skills and knowledge leading the company. MIT's research shows that solo founders struggle compared to startups with founding teams.<sup>1</sup>

In this workbook, I'll first walk you through exercises to assess and define your starting point so that you are better equipped to determine whether and how you want to proceed.

## YOUR PASSION

I start with passion because if you don't have this, you will never succeed. It is a necessary condition (you must have it) but not a sufficient one (you need other things, too). Without passion, when you hit those tough times—and you will, without question—you will not be able to fight through.

By definition, a startup is about doing something that has never been done before. You are experimenting every day in new terrain, and you and your team will be way out of your comfort zone. You and they must be. It is all so new. You hope to succeed, but you will fail, in ways big and small, and often. Failed experiments are part of the startup experience. Just like in sports, where no great player has ever made all the shots he takes nor won every game she plays, you will do a lot of things that don't work right away, or don't work at all. You have to have a passion to fight through these temporary setbacks.

### Passion Checklist

|   | I understand that...                                                                                                                                                                                                                    | Yes | No |
|---|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----|----|
| 1 | Founding a company will be really, really hard and I still want to do it.                                                                                                                                                               |     |    |
| 2 | It will be a lengthy process loaded with humiliating failures along the way, and I must learn from them and not take them personally.                                                                                                   |     |    |
| 3 | I cannot do it alone.                                                                                                                                                                                                                   |     |    |
| 4 | The path to success is not an algorithm with set rules to follow, but an iterative process where I can only increase or decrease the odds of success, but I cannot guarantee anything. Even if I achieve success, it is only temporary. |     |    |
| 5 | The goal is to make an “anti-fragile” organization—one that gets stronger over time when faced with problems, failures, uncertainty, and surprises.                                                                                     |     |    |
| 6 | When others provide advice, I will listen, but I will also recognize that it is up to me to choose which advice to implement, and how to implement it, since only I own the final results and accountability.                           |     |    |
| 7 | I will have to leave my comfort zone every day to grow and continue to be successful.                                                                                                                                                   |     |    |
| 8 | I am doing this for more than the money. I believe in my cause and my team.                                                                                                                                                             |     |    |

<sup>1</sup>Edward B. Roberts, *Entrepreneurs in High Technology: Lessons from MIT and Beyond* (New York: Oxford University Press, 1991), 258.

You may want to consider additional questions customized to your personal situation. The goal is to gauge whether you meet the minimal level of “informed passion” that is required to start a company.

If you did not answer “Yes” to all of these questions, don’t start a company today.

And that’s okay. I estimate that at least half of my students fall into the category of what I call the “entrepreneurial tourist” or “curious/exploratory entrepreneur.” These are people who are interested in learning about how to start a company, but they’re not ready to quit their job tomorrow and pour their lives into a fledgling company. Some of my other students are interested in corporate entrepreneurship, or in being an “entrepreneurship amplifier,” where they work to increase interest in entrepreneurship and build up resources that will support startups.<sup>2</sup>

All of these people will benefit from going through the 24 Steps with some idea or technology so that they better understand the level of detail that goes into starting a company. And someday if they become ready to start a company, they will have a much stronger set of skills and knowledge ready to use. If you are interested in entrepreneurship, I encourage you to go through *Disciplined Entrepreneurship* and this workbook and iterate on an idea all the way through the process. You’ll learn a lot that will benefit you in any capacity where you are doing something new, even inside existing companies.

But if you don’t have the requisite passion today, you won’t be ready for the short-term and long-term challenges that starting a company will bring you.

Once you have confirmed your level of passion, you are ready to consider your existing ideas or technologies or to determine, based on your interests, strengths, and skills, what ideas or technologies may be interesting starting points for you.

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## YOUR TEAM

Entrepreneurship is not a solo sport. We’ve seen time and time again that teams of founders have a greater span of knowledge and skills, and they support each other when the going gets tough.

You may already have a team of founders, or you might be looking for people to join you on your journey. *Disciplined Entrepreneurship* lists some resources that are useful for team building, but how to select a team is a much broader topic than I have space for. In this workbook, start by listing out some key details about your existing team members. That will help you in coming up with ideas to pursue and in determining who else you want to join your team.

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<sup>2</sup>I discussed different levels of interest in entrepreneurship, and their resulting Personas, as part of my keynote speech to the United States Association for Small Business and Enterprise 2016 Conference. You can view slides from the speech at <http://www.slideshare.net/billaulet/past-present-and-future-of-entrepreneurship-education-presentation-at-usasbe-conference-jan-10-2016>.

| Name | How do we know each other? | Knowledge | Skills | Passions/Interests | Founding Team Potential |
|------|----------------------------|-----------|--------|--------------------|-------------------------|
|      |                            |           |        |                    |                         |
|      |                            |           |        |                    |                         |
|      |                            |           |        |                    |                         |
|      |                            |           |        |                    |                         |
|      |                            |           |        |                    |                         |
|      |                            |           |        |                    |                         |
|      |                            |           |        |                    |                         |
|      |                            |           |        |                    |                         |

A simple way I think about balance, skills, and roles on a team is the 3H model—hacker, hustler, and hipster. While not perfect, it has the benefit of simplicity and raising the issue in a fun and easy to remember way.

1. Who on your team is your lead “hacker”? (Hacker is the one who will make the product.)
2. Who on your team is your lead “hustler”? (Hustler is the business person.)
3. Who on your team is your lead “hipster”? (Hipster is the one concerned with the customer experience and design.)

Note: If you are lacking significant capacity in any one of the 3 H’s, then you need to have a plan to fill that gap in the short, medium, and long term.

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## COMING UP WITH AN IDEA OR A TECHNOLOGY

If you already have an idea or a technology that you want to use as the basis for your company, you may be tempted to skip straight ahead to Step 1, Market Segmentation. However, I encourage you to spend some time to fill out the Idea Mini-Canvas or Technology Mini-Canvas below. You may find that your idea or technology is not as “ready to go” as you thought. Or your teammates may have differing opinions, and a brainstorming session will result in a much better starting point that everyone is passionate about.

If you don’t have something to start with, the standard advice is to find a problem that needs to be solved that you are passionate about solving. But what does this mean? Let’s drill down and make this advice more actionable.

An excellent starting point for a new venture is a “market pull” where you identify an unfilled yet meaningful need to fix some “customer pain,” something for which there exists some group of people who are willing to pay money for a solution. We call it “market pull” because you are being pulled by the customer to satisfy an already-defined general market demand. Coming up with a good market pull is hard—otherwise, everyone would start a company. The most important thing for now is to be open to the ideation process (see below) and come up with ideas that your team thinks are worth pursuing. Step 1, Market Segmentation, is where you will rigorously test your idea against the market.

Another starting point can be a “technology push” based on some new-to-the-world concept that has the potential to create new market opportunities. It could be a hardware breakthrough out of a lab with significant intellectual property around it, as we often have at MIT. Or it could be taking a technology-enabled business model or process to a new market. Think of an Uber-like business model that builds a platform between underutilized assets and disaggregated demand to create more efficient markets—such a business is much more viable when every customer has a smartphone in their pocket. Software as a service or data analytics are other good examples. In this approach, your team has a competitive advantage or early passion about an exciting invention and is searching for a market to apply it to so as to create value and impact.

Often people refer to this approach as “a solution looking for a problem” or the metaphor “a hammer looking for a nail,” which is an apt description. It can be challenging to take a technology and find a true customer pain. Some teams get too enamored with the technology, and they don’t focus and drill down to understand how to get paying customers. Use “technology push” with caution, and pursue only if the knowledge, skills, and passions of your founding team are more inclined toward starting with a technology, and your team understands that paying customers are more important to a startup than cool technology.

Regardless of whether you choose a market pull or technology push, there is a lot you won’t yet know about this general problem: How urgent is the problem? How much will the customer pay for a solution? How many people have this problem? What does the competitive landscape look like?

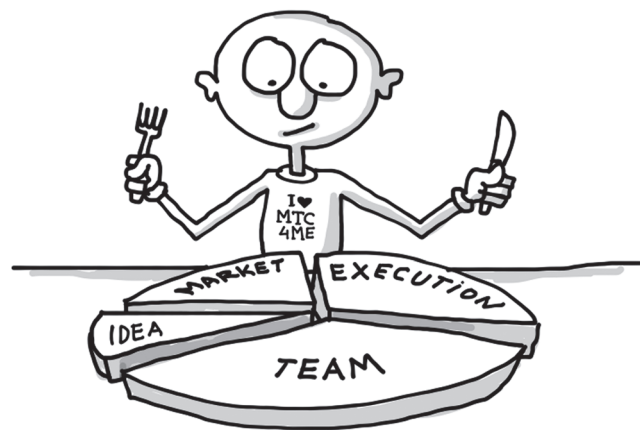
What will be your competitive advantage that makes you stand apart from all other companies? How profitable a business can be built solving this problem?

You will explore those questions, and many more, throughout the 24 Steps, starting with Step 1, Market Segmentation, where you'll put an idea to the test by doing extensive primary market research to determine whether such a customer pain exists from the idea.

For now, your goal is to come up with *general* ideas where, if you focus and spend sufficient time, your team can produce a product that could be the basis of a scalable business you will be excited about. Use the Idea/Technology Brainstorming Notes table (see page 7) to guide your brainstorming. Then, fill out the appropriate Mini-Canvas (see page 7), and begin the 24 Steps.

There are entire books, courses, conferences and even companies focused on the “ideation” process, so I will not try to comprehensively summarize it here. But I have a few key points related to brainstorming in general based on my secondary research and experience:

1. Brainstorming is best done as a team with diverse perspectives. Without the whole team involved, some members may feel less invested in your success. Without diverse perspectives, your ideas may not be broad enough to find a truly great market opportunity.
2. Use improv (improvisation) training techniques with your team. They're effective at getting people to think in the kind of “yes, and...” mindset that fosters effective brainstorming. In “yes, and...” you don't immediately scrutinize and criticize each idea that comes up, but instead you build on each other's ideas. Only after you've come up with a lot of ideas do you start a critical analysis.
3. Brainstorming and the subsequent filtering of ideas is also an excellent way to determine who should be and shouldn't be part of your founding team. While not the expressed purpose of this exercise, this is every bit as valuable, if not more valuable, than coming up with the idea. Since the real work of the new venture has not yet started in any meaningful way, I find this process is more useful in determining who you don't want to work with as opposed to measuring the strength of the founding team.
4. Take brainstorming seriously, but understand this is a small part of the overall process. An idea is necessary to start with, and it gets your team in the right general neighborhood. But I often refer to the initial idea as the single most overrated thing in entrepreneurship. The quality of your team, having a clear target market, and having a sound process for execution (like the 24 Steps) are much more important factors in ultimate success than your initial idea, which often changes dramatically over time.



THE ENTREPRENEURSHIP SUCCESS PIE



**Idea/Technology Brainstorming Notes**

Use this chart to help identify your team's knowledge, skills, and interests, which can help you come up with market pull (or tech push) ideas.

|                                                                                                                                                        |  |
|--------------------------------------------------------------------------------------------------------------------------------------------------------|--|
| <b>Knowledge:</b> What was the focus of your education/career?                                                                                         |  |
| <b>Capabilities:</b> What are you most proficient at?                                                                                                  |  |
| <b>Connections:</b> Who do you know with expertise in different industries?<br>Do you know other entrepreneurs?                                        |  |
| <b>Financial assets:</b> Do you have access to significant financial capital, or will you be relying on personal savings to start?                     |  |
| <b>Past work/life experience:</b> In previous jobs you've held, or in previous experiences in your life, what inefficiencies or "pain points" existed? |  |
| <b>Passion for a particular market:</b><br>Do you want to improve healthcare?<br>Education? Energy? Transportation?                                    |  |

**Market Pull Mini-Canvas**

|                                                                                                                                                                                                                |                                                                                                                                                                                                                                                                        |
|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <p><b>1. WHAT:</b></p> <p>What is the general problem we are trying to solve or the opportunity we are looking to capitalize on?</p> <p>_____</p> <p>_____</p> <p>_____</p> <p>_____</p>                       | <p><b>2. URGENCY:</b></p> <p>This is a: (circle one)</p> <ul style="list-style-type: none"> <li>• Vitamin pill (i.e., nice to have)</li> <li>• Pain killer (i.e., solves a critical problem)</li> <li>• Game changer (i.e., opens new market opportunities)</li> </ul> |
| <p><b>3. WHY US:</b></p> <p>Our team has or would have the following assets that would make us uniquely qualified to implement this idea:</p> <p>_____</p> <p>_____</p> <p>_____</p> <p>_____</p> <p>_____</p> | <p><b>4. PASSION:</b></p> <p>Summarize why our team cares so much about this idea that we are willing to embark on this arduous &amp; humbling journey:</p> <p>_____</p> <p>_____</p> <p>_____</p> <p>_____</p> <p>_____</p>                                           |

**Technology Push Mini-Canvas**

|                                                                                                                                                                                                                                     |                                                                                                                                                                                                                            |
|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <p><b>1. WHAT:</b></p> <p>Description of the invention/technology:</p> <p>_____</p> <p>_____</p> <p>_____</p> <p>_____</p> <p>_____</p>                                                                                             | <p><b>2. WHY US:</b></p> <p>Why we have a significant advantage over anyone else with regard to this invention:</p> <p>_____</p> <p>_____</p> <p>_____</p> <p>_____</p> <p>_____</p>                                       |
| <p><b>3. LEAP FORWARD:</b></p> <p>Compared with the most relevant current alternative, why is it so compelling that it will make people and industries change:</p> <p>_____</p> <p>_____</p> <p>_____</p> <p>_____</p> <p>_____</p> | <p><b>4. PASSION:</b></p> <p>Summarize why our team cares so much about this idea that we are willing to embark on this arduous and humbling journey:</p> <p>_____</p> <p>_____</p> <p>_____</p> <p>_____</p> <p>_____</p> |

## HYBRID IDEA: MIX OF MARKET PULL AND TECHNOLOGY PUSH

When I wrote *Disciplined Entrepreneurship*, I sought simplicity as much as possible, so I divided starting points neatly into idea or technology. But as the mathematician Alfred North Whitehead said, “Seek simplicity and distrust it.” Now, after seeing hundreds of companies applying the 24 Steps, I trust it more, but I have also found areas that deserve greater explanation, and this is one such area.

The reality is that most often teams start with market pull, but there is some technology push, especially from universities and research and development laboratories. In some cases, however, teams start somewhere in between the two models of market pull or technology push. Over the past few years I have seen increased awareness of market importance at all levels. Today, even the scientist in the lab is thinking early on about the application of the breakthrough he or she is working on. Something that seems like a “technology push” may have been inspired by a “market pull,” and vice versa.

An example of a hybrid idea came from one of my students, Parul Singh, who began with the fundamental concepts that teachers need help, and new technology like the iPad enabled exciting opportunities to do so. The convergence of the demand and the sudden ubiquity of tablets was an opportunity for her to create a company she was extremely excited about. While things changed over time, this hybrid idea was sufficiently compelling to get her and her cofounder, Dante Cassanego, to start the journey toward creating Gradeable, which had the goal of reimagining how grade-school students are assessed in order to increase student engagement in the classroom.

So if your originating concept is a hybrid, which will be true in many cases, you should use both Mini-Canvases, but I would more strongly emphasize the market pull one. Then I would suggest you overlay these Mini-Canvases with the following Hybrid Mini-Canvas.

### Hybrid Idea Consolidated Mini-Canvas

|                                                                                                                                                                                                                                                                  |                                                                                                                                                                                                                     |
|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <p><b>1. MARKET PULL:</b></p> <p>This idea is relevant to the _____<br/>         _____ market because it will<br/>         produce significant value by _____<br/>         _____<br/>         _____<br/>         _____<br/>         _____<br/>         _____</p> | <p><b>2. TECHNOLOGY PUSH:</b></p> <p>The enabling technology invention is:<br/>         _____<br/>         _____<br/>         _____<br/>         _____<br/>         _____<br/>         _____<br/>         _____</p> |
| <p><b>3. WHY US:</b></p> <p>What makes us especially qualified to pursue this opportunity?<br/>         _____<br/>         _____<br/>         _____<br/>         _____</p>                                                                                       |                                                                                                                                                                                                                     |

Your analysis of the customer and the marketplace will lead your journey through the 24 Steps, not your idea or technology, no matter how amazing you think it is now. This step is just the starting point of a long journey. Let's move on. Onward and upward!

# STEP I

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## Market Segmentation

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### WHAT IS STEP I, MARKET SEGMENTATION?

Brainstorm how your idea or technology can serve a variety of potential end users. Narrow that list of potential end users to several promising categories, then conduct primary market research to gain more information about each potential end user.

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### WHY DO WE DO THIS STEP, AND WHY DO WE DO IT NOW?

It is crucial to start the process with a focus on a target customer. Everything else about your business will be based on that focus.

**By the Book:** See pages 23–35 of *Disciplined Entrepreneurship* for basic knowledge on this step. See pages 36–39 of *Disciplined Entrepreneurship* for an example of how a company addressed this step.



Seeing the world  
through  
the eyes of the  
customer

vs.



Seeing the world  
through  
the perspective  
of the company

*The Market Segmentation step gives you the right frame of mind for the new product right from the start.*

---

## PROCESS GUIDE

The single necessary and sufficient condition for a business is a paying customer. If people don't give you money in exchange for your product, nothing else matters. As I discuss in *Disciplined Entrepreneurship*, the best way for an innovative startup to lay the groundwork for a solid company is to dominate a narrow, carefully defined market that serves a particular end user. To choose the best market, you'll do a Market Segmentation that uses primary market research to pinpoint the best markets to draw your attention. Later, you'll select one of these markets and dig deeper in the process of determining exactly who your customer will be.

An end user (the foundation of a market segment) is a category of people who have similar needs and customer pains. End users typically have similar demographics and other characteristics. Rigorously categorizing end users, which is what you want to do, is much more detailed than you may think. For instance, an education startup would be poorly served by targeting the general category "teachers" as their end users, as it is too general. This general description ignores the differences between public and private schools; primary, secondary, and postsecondary education; rural, suburban, and urban school districts; and young, inexperienced teachers and older, veteran teachers.

In this workbook, you'll go through the three stages of Market Segmentation—brainstorming, narrowing, and primary market research.

### Part 1A: Brainstorming

"I already have my idea. Why do I need to brainstorm again?"

The idea or technology is a good starting point because it reveals your interests, skills, passions, and possibly key assets. But it often does not articulate systematically enough a customer pain, a need that is so deep that a group of people are willing to pay you a meaningful amount of money to solve it. The Market Segmentation's brainstorming stage is designed to broaden the world of possible end users as wide as possible to consider who might benefit from your idea.

Often some of the most interesting Beachhead Markets exist on the fringe of the spectrum and are overlooked by others, so think broadly. Wild ideas are welcome and encouraged at this point.

How do you effectively brainstorm so that you are considering all the possibilities? Keep these tips in mind:

1. **Get the right people in the conversation:** You should discuss with not just your founders, but also consider other relevant parties such as domain experts, technologists, creative types, facilitators, and others you deem appropriate. It is helpful to have many of these people in a room together brainstorming, but don't expect to lock yourselves in a room for a single session of a few hours and have a completed list; you also want to bounce ideas off of potential customers and others you know or can get connected to. To get the best portfolio of options, it will probably take multiple meetings in multiple different locations with multiple different audiences within the time frame you have available for your situation. Don't let the discussion be constrained by the technology available today. If anything, expand your horizons and consider trends in technology and even brainstorm the possibilities if technology advanced even faster.

2. **Be clear on the dual purpose of the brainstorming:** You want to get the right people in the conversation because you're not just making a comprehensive list of potential markets. You're also selecting and refining your initial team and then creating alignment for that foundational team. Some of the people you invite to the conversation will become cofounders, and depending on how the conversation goes, some of your current cofounders may drop out. This is natural and healthy if you are executing the process effectively. Cohesion comes from all the members of the team participating in the formation of your organization and understanding its direction. Just knowing the final answer is not as empowering as deeply understanding why the answer was agreed upon.
3. **Get in the right place with the right tools:** Find a new place where everyone feels comfortable because it is important that constraining hierarchical relationships and distractions are eliminated or at least kept to a minimum. Disconnect from all e-mails, texts, tweets, and other notifications for at least a half day—a full day is better. Get a lot of sticky notes and encourage participants to jot down ideas as they come up with them and then share them. If you can find a space with whiteboard or chalkboard walls, even better.
4. **Get the right rules to brainstorm by:** The renowned design firm IDEO has five basic rules that govern brainstorming sessions. While others have used variants of this and customized them to their environment (quite colorfully and memorably), IDEO's rules that can be used as a starting point are:
  - a. Defer judgment
  - b. One conversation at a time
  - c. Stay focused on the topic
  - d. Encourage wild ideas
  - e. Build on the ideas of others
5. **Identify, empower, and develop a facilitator:** Find or appoint a facilitator to enforce the rules you agree to in #4 above, and empower that person to guide the process. That person should take this responsibility seriously and prepare for the session. It is their responsibility to ensure everyone gets input and to avoid groupthink or dominant personalities controlling the conversation.
6. **Get everyone in the right mood:** As discussed in Step 0 of this workbook, getting people in the mindset of “yes, and...” is incredibly important. The night before the brainstorming session, I strongly suggest having participants watch the brainstorming part (approximately the first third) of ABC News *Nightline*'s segment “The Deep Dive” about IDEO; you can find this video online. On the day of the brainstorming session, start out with David Morris's 11-minute TEDxVictoria talk on “The Way of Improv,” also available online. The participants will hopefully be laughing by now and more relaxed than usual. The facilitator should then explain the key points of the David Morris video and how that builds off the IDEO video and is relevant to the exercise of the day. The fundamental concept of saying “yes, and...” has helped so many of my interactions with students and entrepreneurs to make situations much more productive.
7. **Focus on being specific:** The “F” word for entrepreneurs is “focus,” because it's hard to do, and entrepreneurship requires continually keeping your focus. Make sure everyone understands they are brainstorming potential end users, and have them review Step 1 of *Disciplined*

*Entrepreneurship*, which provides examples about how narrowly end users should be defined. Do not worry now about who will pay for the product; focus instead on end users who would gain significant value from some permutation of your idea. If there is no end user, there will be no economic buyer.

8. **First pass to get the ideas out:** Don't critique, combine, reject, or otherwise discourage ideas. Just get them out and write them down in a nonjudgmental fashion.

The worksheet below is almost a blank slate, and that's because the brainstorming process should be free flowing. Use the worksheet as a loose guide but let your imagination flow.

## Brainstorming What My Startup Will Do

[illegible]



**Part 1B: Narrow**

Now that you have lots of ideas, it is time to start narrowing down the field to eliminate from consideration market segments that would be weak options for your startup. The goal is to get to a manageable list so that later you can do a deeper analysis on a small number of market segments before you choose your Beachhead Market. I would say anywhere from four to 10 markets is a reasonable number of candidates to end up with, so that you can build your first draft Market Segmentation Matrix in Part 1C of this step.

Use the seven questions in the chart below as a guide for your discussions. Refer to Step 1 in *Disciplined Entrepreneurship* if you need more detail on how to answer those questions.

Start by focusing on your team's values, passions, and goals, and eliminate ideas that violate your values. Don't ignore your passions, because you will not be successful if you do something you do not like. You will probably also have some subset of ideas that the team quickly decides are not worth pursuing.

Each time, before you eliminate a market segment, allow time for the group to discuss to make sure the group has all the information before making such a decision. This discussion can be a powerful learning and alignment process. Lastly, once the obvious candidates are removed, have the group vote on the remaining market segments to get a prioritized list.

Use the chart below to record your prioritized list of top market segments and why they are particularly compelling. Record a sentence or two explaining each question on the chart. If, while filling out this chart, your team realizes another market segment is more compelling, discuss with the group whether to switch it out on your short list of candidates. Then, use the "Rank" column to prioritize each end user by how compelling an opportunity you think it is ("1" is best).

## Top Target Markets to Consider for My Startup

[illegible]

## Part 1C: Primary Market Research and Market Segmentation Matrix Version 1.0

Now that you have narrowed your market segments to a manageable number, you will start doing primary market research to build out the Market Segmentation Matrix below. You may be tempted to fill in the matrix with what you already know, but I urge you to be patient.

Instead, gather nearly all of the information through primary market research, by interacting directly with potential customers how they work today and what their customer pains are. Don't assume you have the answer for a customer and start advocating your ideas. Instead, stay firmly in "inquiry mode" and learn from the customer. You will discover lots of things you don't know about the customer's needs, and you may find reason to revise your end user market segment definitions.

Before starting your primary market research, each person working on the matrix should read and understand the next chapter in this workbook, "A Practical Guide to Primary Market Research," and should sign its "Primary Market Research Pledge." Getting unbiased market feedback through observations, interviews, and experiments is absolutely crucial to your success.

Do not allow anyone to get too fixed in their opinion early in the process (i.e., stubborn). It is very easy to come to a strong point of view and then start advocating for it too early in the process. If someone appears to be leaning in that direction, the facilitator or someone in the group should openly note it and ask that person to explain the counterarguments to their own proposal, to get them thinking more broadly about both the pros and cons. It is important that people not be driving stakes in the ground with regard to their position, since it will make it emotionally hard for them to change later. You don't have sufficient data at this point to make decisions; you need to do your primary market research.

The best way to tackle the matrix is to assign each market segment to a subgroup within the team—hopefully more than one person so that the resulting analysis benefits from multiple perspectives. Set a deadline to get a first pass done on the matrix. Each team should talk to and/or closely observe a minimum of 10 potential end users from that market segment during the first pass.

After the first pass is complete, have the team come back together and discuss their findings, so that the group can give feedback on each market segment. A few markets may now be eliminated, and the remaining market segments can get even more attention in a second round of primary market research. Do not allow individual personalities or debating skills to dictate which market is chosen, but rather a systematic analysis. Passion does matter, but it needs to be the passion of the group, coupled with a rigorous and realistic analysis.

As we mentioned earlier in this section, it is important that when discussing the first pass results, if anyone seems to be getting too emotionally attached to a market, ask them to argue why the team should not pursue that market. If they still appear to be too attached, swap individuals and allow someone else to continue the research of that market segment.

You will want to iterate multiple times on your matrix, alternating back and forth between primary market research and group discussion of your findings. Getting the matrix as correct as possible will make it easier to achieve forward momentum and save you lots of time later. But institute deadlines for each iteration of the matrix to keep things moving forward at an acceptable pace. Forward progress is essential.

Once you have obtained consensus within the team that you have the best Market Segmentation Matrix you can build in the time frame that is acceptable to your situation, you are ready to move on to the next step in the 24 Steps. Participants should be aware they cannot expect to pull you back to restart this process unless there is truly overwhelming evidence agreed by all that the current market segment selection is not viable. You need to move forward with everyone in agreement. While it is possible that in a later step of the 24 Steps you will get some significant new information that was impossible to know previously, forcing you to revisit the Market Segmentation, in general iterating all the way back to the beginning is the most expensive kind of iteration because all of your work builds off each previous step. Completing the matrix puts your team at a "speak now or forever hold your peace" moment.

### Market Segmentation Matrix Row Definitions

|    |                                                              |                                                                                                                                                                                                                                                                                                                                                                           |
|----|--------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 1  | <b>Market Segment Name</b>                                   | Carefully name the market segment so it appropriately and precisely captures the group you want and no more; it is okay to be general at first, but you will have to narrow this down in time to make real progress.                                                                                                                                                      |
| 2  | <b>End User</b>                                              | This is the person who is actually using the product, not the economic buyer or the champion (more on this in Step 12)—even if you are selling to a company or a general organization, you want to list here the people in that company who will be using your product.                                                                                                   |
| 3  | <b>Task</b>                                                  | What exactly is it that the end users do that you will significantly affect or allow them to do that they could not do before?                                                                                                                                                                                                                                            |
| 4  | <b>Benefit</b>                                               | What is the benefit that you believe the end users will get?                                                                                                                                                                                                                                                                                                              |
| 5  | <b>Urgency of Need</b>                                       | What is the level of urgency to solve the problem or capture the new opportunity for the end user?                                                                                                                                                                                                                                                                        |
| 6  | <b>Example End Users</b>                                     | Who are examples of end users that you can, have, or will talk to, so as to validate your perceptions of this market segment?                                                                                                                                                                                                                                             |
| 7  | <b>Lead Customers</b>                                        | Who are the influential customers (i.e., lighthouse customers) where, if they buy the product, others will take note and likely follow?                                                                                                                                                                                                                                   |
| 9  | <b>Willingness to Change</b>                                 | How conservative is this market segment? How open are they to change? Is there something to force change (e.g., impending crisis)?                                                                                                                                                                                                                                        |
| 10 | <b>Frequency of Buying</b>                                   | How often do they buy new products? What does their buying cycle look like at a high level?                                                                                                                                                                                                                                                                               |
| 11 | <b>Concentration of Buyers</b>                               | How many different buyers are there in this market segment? Is it a monopoly? Oligopoly (a small number of buyers)? Or many competitive buyers?                                                                                                                                                                                                                           |
| 12 | <b>Other Relevant Market Considerations</b>                  | This allows for customization of your segment for relevant considerations such as “high employee turnover,” “very low margins/commodity,” “high-growth industry,” “high virality effect” (i.e., word of mouth), etc.                                                                                                                                                      |
| 13 | <b>Size of Market (# of End Users)</b>                       | Estimation of the number of end users to a relevant range (10s, 100s, 1Ks, 10Ks, 100Ks, 1Ms, etc.).                                                                                                                                                                                                                                                                       |
| 14 | <b>Est. Value of End User (\$1, \$10, \$100, \$1K, etc.)</b> | A first-pass estimate of the value of each end user, again to a relevant order of magnitude so you can make some relative decisions now (you will do a deep dive into this and other numbers later).                                                                                                                                                                      |
| 15 | <b>Competition/ Alternatives</b>                             | What will be your competition from the end users’ perspective? Include the “do nothing” option as well as who else would be competitors if the end users analyzed their options.                                                                                                                                                                                          |
| 16 | <b>Other Components Needed for a Full Solution</b>           | Since most customers will only buy a full solution and not an individual component that they have to assemble into a full solution, what other elements are needed to construct a full solution to achieve the benefits above? These are the complementary assets that you do not currently have but would need to build or acquire to give the end user a full solution. |
| 17 | <b>Important Partners</b>                                    | Who are the partners or distributors you will have to work with to fit into the end user’s workflow (e.g., data must come out of vendor A’s system and then be picked up at the end by vendor B’s system) or business processes (e.g., the end user gets all his or her product via distribution channel C)?                                                              |
| 18 | <b>Other Relevant Personal Considerations</b>                | In many Market Segmentation analyses, there are additional important factors that should be considered. These could be things like where the market segment is geographically centered, whether it matches the values of the founding team, existing knowledge and contacts in market, etc.                                                                               |

## Market Segmentation Matrix Starter Template

|                                                              |  |  |  |  |  |
|--------------------------------------------------------------|--|--|--|--|--|
| <b>Market Segment Name</b>                                   |  |  |  |  |  |
| <b>End User</b>                                              |  |  |  |  |  |
| <b>Task</b>                                                  |  |  |  |  |  |
| <b>Benefit</b>                                               |  |  |  |  |  |
| <b>Urgency of Need</b>                                       |  |  |  |  |  |
| <b>Example End Users</b>                                     |  |  |  |  |  |
| <b>Lead Customers</b>                                        |  |  |  |  |  |
| <b>Willingness to Change</b>                                 |  |  |  |  |  |
| <b>Frequency of Buying</b>                                   |  |  |  |  |  |
| <b>Concentration of Buyers</b>                               |  |  |  |  |  |
| <b>Other Relevant Market Segment Considerations</b>          |  |  |  |  |  |
| <b>Size of Market (# of End Users)</b>                       |  |  |  |  |  |
| <b>Est. Value of End User (\$1, \$10, \$100, \$1K, etc.)</b> |  |  |  |  |  |
| <b>Competition/Alternatives</b>                              |  |  |  |  |  |
| <b>Other Components Needed for a Full Solution</b>           |  |  |  |  |  |
| <b>Important Partners</b>                                    |  |  |  |  |  |
| <b>Other Relevant Personal Considerations</b>                |  |  |  |  |  |

### Team Composition and Dynamics

Before you move on to Step 2, Select a Beachhead Market, consider the team you have assembled. Throughout this step, you should have been keeping an eye on the team composition and dynamics. Be open and honest about how things are working and if everyone should continue with the project. It will be much easier to change team members now than later.

You know it is crucial to iterate on your product to be successful, but your team's composition and cohesion is just as important, if not more important. And yet, people are reluctant to iterate on their team. Don't be like that. You all will pay later if you don't optimize your team now.

I've included the following team table from Step 0. Consider it again, including not just the founders you initially identified, but other participants in the brainstorming process of this step. Which of them may have valuable insights, perspectives, and experiences? If they do not want to join the team, are there others with similar qualities you want to add? Are there members who you do not think would contribute positively to the team?

| Name | How Do We Know Each Other? | Knowledge | Skills | Passions/Interests | Founding Team Potential |
|------|----------------------------|-----------|--------|--------------------|-------------------------|
|      |                            |           |        |                    |                         |
|      |                            |           |        |                    |                         |
|      |                            |           |        |                    |                         |
|      |                            |           |        |                    |                         |
|      |                            |           |        |                    |                         |
|      |                            |           |        |                    |                         |
|      |                            |           |        |                    |                         |
|      |                            |           |        |                    |                         |

Make sure you document your decisions so everyone has a clear understanding of how you are going forward, and so team members understand their “ownership” of the business venture. Even if you are not quite ready to incorporate your business, you don’t want a misunderstanding at this early stage to fester and cause trouble for your team later on. Getting legal help may be a wise strategy at this point. The 24 Steps do not cover legal issues related to company formation, such as how to split equity between team members, but Noam Wasserman’s *The Founder’s Dilemmas* is a good initial resource to better understand how to manage team dynamics in a startup.



# BONUS TOPIC

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## A Practical Guide to Primary Market Research

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This is new material that was only covered at a high level in *Disciplined Entrepreneurship*. I want to express my thanks to my colleague Elaine Chen at the Martin Trust Center for MIT Entrepreneurship, as well as the entire marketing group at the MIT Sloan School of Management, specifically Professors Catherine Tucker, Duncan Simester, and Drazen Prelec, who provided important intellectual contributions and consultations with regard to this chapter. The good ideas are theirs, and I take full responsibility for interpretations or extrapolations to the entrepreneurial environment that might be more controversial.

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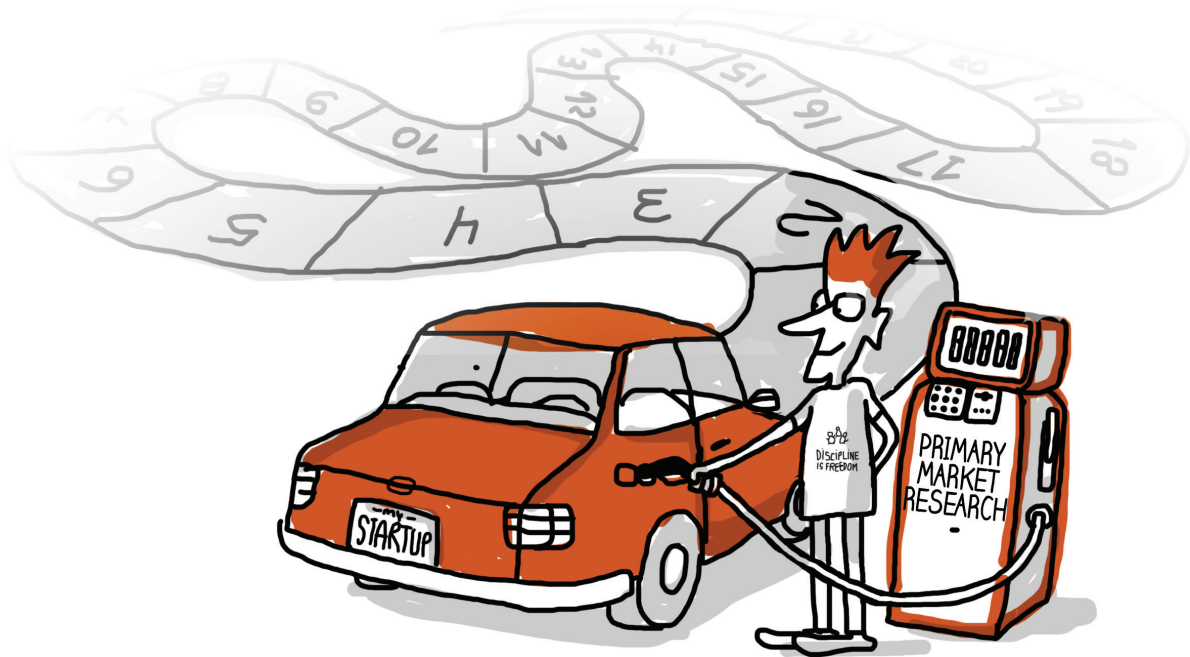
### WHAT IS PRIMARY MARKET RESEARCH?

Primary market research is direct interaction with customers to understand their situation. The skills required to do effective primary market research are required to complete almost every step of the 24 Steps. Step 1, Market Segmentation, is heavily fueled by primary market research, but you never stop doing primary market research when you want paying customers.

I've added this supplemental material to help you develop a fundamental skill that underlies the entire process of starting a company—the knowledge and ability to do good primary market research. *Disciplined Entrepreneurship* gives an overview of the topic, but this chapter will help you research much more efficiently and effectively.

The entrepreneurship community has lagged behind in incorporating primary market research into startup formation, which is a missed opportunity. Customer-focused companies such as Procter and Gamble and leading product design firms such as IDEO and Continuum Innovation have long practiced primary market research in their user-centered design processes.

More recently, with terms like Steve Blank's "customer discovery," primary market research is becoming less intimidating an idea for entrepreneurs. But primary market research has deep roots, and this chapter explores the depth and breadth of academic and practitioner insights on the topic.



*Primary market research feeds into the 24 Steps all along the way and is the fuel that keeps the process going in the right direction.*

Entire books have been written on this topic, so I am going to try to synthesize it down to what entrepreneurs really need to know to be successful. As Dharmesh Shah says, one of the key things you need to do to be successful in a startup is to start. It is right there in the name. So don't get overwhelmed by the magnitude of this task; just get started.

## Definitions

- **Primary Market Research:** When you (or someone you hire) directly interact with the potential customer to gain knowledge specific to your potential new venture. I will often call this “bottom-up” market information. Depending on where you are in the 24 Steps, you may be interacting with the end user or with other individuals within the company, such as the people who make spending decisions (the “economic buyers”), the people who will advocate for the purchase of your product (the “champions”), or others who influence or control the procurement process (collectively, the entire group is called the “Decision-Making Unit,” which I will get into much more detail in Step 12).
- **Secondary Research:** Material you get from sources other than the potential customer. It is indirect. It is generally not specific to your business. These are the industry and government reports that you can find on the Internet or buy from a source that has already done them. I will refer to this as “top-down” market information.
- **Qualitative vs. Quantitative Research:** Qualitative research is exploratory research that helps you generally understand a topic, and is often conducted through a small number of open-ended in-person interviews. Quantitative research uses a much more structured approach and focuses on gathering specific data to prove or disprove the hypotheses created in the qualitative phase.

- **Ethnographic Research:** Technically defined as the systematic study of people and cultures. In primary market research, it turns out that customer psyche plays an important role in decision making. Sometimes, it is even more important than a rational or economic perspective. However, you can't ask people directly why they do what they do, because people are bad at explaining their habits. And yet it is essential for you to understand this behavior. Anthropologists have been doing ethnographic research for a long time. They embed themselves in the cultures they are studying and observe closely to gain this information.

## The Goal of Primary Market Research

The goal of good primary market research is to understand your customer in all dimensions: rationally, emotionally, economically, socially, culturally, and more. Not only have you walked a mile in your customer's shoes, but you understand them better than they understand themselves. Good primary market research is not just numbers, and it does not start with numbers, but rather that holistic understanding of the customer—the person. Only then can you solve significant problems or otherwise motivate and provide value to the customer.

It is not the customer's job to design your new product. That is your job. As Elaine Chen says, "The customer is the expert of their problem, and you are the expert in finding a solution to that problem." It is your responsibility to systematically get enough unbiased information to design and then refine a new product that will create significant value for the customer, and many others just like him or her.

Good primary market research is a continuous process of generating new insights and then converting them into testable hypotheses. You will then continue to use primary market research to validate or invalidate these hypotheses. You may go through the 24 Steps to launch your product based off primary market research, but in reality, the process never ends. Customers and markets change over time, so what is true one year may be invalid the next. Primary market research is an essential skill set for a great entrepreneurial team to have, and it makes being an entrepreneur a lot more fun, too.

## The Five Biggest Obstacles to Good Primary Market Research

The fundamental concept of primary market research is quite simple—go out and observe, listen, and interact with potential customers. That can be very hard for some people (i.e., engineers) and very easy for others. Even if it sounds easy, it is not. Here are some of the pitfalls that you have to be aware of before you start.

1. **Lack of Structured Process:** While there needs to be flexibility in how you obtain information, you have to have a process and know the process—and know that it is a process! I will step you through that process here, and there are many other resources available to you that I will reference at the end of this chapter.
2. **Not Properly Executing the Designed Process:** No process will work if it is not used, and this is no exception. You cannot come up with the right answers without interacting with others. You must get out and talk, observe, and test hypotheses with real potential customers, which often results in answers you would not have gotten on your own. You must dig and get good initial sources to talk to and then grow your sources. You have to learn the process and execute it with good technique. Good technique has a lot to do with avoiding the biases I cover in the next three points.
3. **Confirmation Bias:** Extremely common for all people during research, confirmation bias is when you only see the information that confirms your worldview. You ignore or block out

any information that runs counter to your hypothesis. A good way to counter this tendency is to set up criteria beforehand that will confirm or disprove your hypothesis so that you don't change the metrics for success once you start. Even then, bias can still creep in based on how you structure your questions and surveys, inadvertently prompting the customer to provide the answers you want to hear. You must be neutral and not "lead the witness."

4. **Selection Bias:** The people you interview, whether during qualitative or quantitative research, may not be a good representation of the opinions of the group as a whole. Think about Internet polls that allow everyone to vote without controlling for demographics. The type of people who vote do so in percentages that far exceed their true representation of the broader population. As such they produce wildly inaccurate projections. This is why political candidates like U.S. presidential aspirant Ron Paul, with a very passionate base, have done so well on Internet polls, despite not gaining traction in general elections. You need to really understand what your sample should look like to produce meaningful results and control for variations between people that will affect your results. Sometimes, selection bias can be exacerbated by not clearly defining who your customer is. If your end user is "women" and you are at the mall interviewing or observing potential end users, will a 15-year-old affluent urban female have similar opinions as a 40-year-old middle-class suburban mother of three kids? Think about whether your definition of end user is too broad to achieve reliable research results.<sup>1</sup>
5. **Social Acceptability Bias:** If you engage with family or friends, they will most likely not give you accurate answers because they don't want to offend you by not liking your ideas. They will be polite rather than brutally honest because they want to keep their social relationship strong. You need brutally honest feedback from unbiased people, so it is best to interact with people who do not have a social connection with you. Similarly, on sensitive topics like race or sexuality, you may have trouble getting honest answers, particularly with in-person or phone interviews as compared to anonymous surveys.

There are other biases such as the IKEA effect (once you build a product, your confirmation bias gets much stronger), giving the more entertaining interview more weight, giving the last interview more consideration, etc. It is good to realize your biases and always be on the lookout for them. Being data-driven is good, but the data can be made to mislead as well, so that is not a sufficient answer. A great way to minimize biases is to have multiple people conducting the research who have been trained on the biases inherent in research, so that multiple perspectives will keep things honest.

## Process and Techniques

This is the streamlined process I have used and encouraged others to use. It is not as comprehensive as those used in big companies, especially those market research powerhouses like Procter and Gamble, but you don't have the resources or time to be able to do it that way. You have to get the biggest bang for the buck, so this is an efficient, simplified process guide.

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<sup>1</sup>As Elaine Chen points out, selection bias is especially pernicious in qualitative research because it is by nature anecdotal with low sample points. Imagine talking to five people who seem to validate your hypothesis and you stop there, and it turns out that there exists nobody else on Earth who agrees with them. You have a lot less of this problem when running a survey with 500 people who respond, assuming you have randomly chosen who within the larger group you survey, and you controlled for the right variables by incorporating demographic or other questions into the survey and weighting the responses.

1. **Make a Plan:** Many of you will do what I did the first time I learned about primary market research, which was just going out and start talking to potential customers without a plan. This is not disciplined. Develop a plan. This may sound obvious, but it was not to me at first, and it may not be to you. Without a plan, your potential customers will get frustrated after they talk to you once when you come back with more questions that could have been addressed up front. This customer, a very valuable and precious source of information, will then write you off as disorganized and wasting their time. Please save yourself a lot of suffering and losing some potential great sources by having a thoughtful plan.

A general plan will look much like the following from Elaine Chen's Primary Market Research Primer Guide<sup>2</sup>:

1. Write out the goals and objectives of the research, and a detailed description of the research technique.
2. Define recruitment criteria for interviewees.
3. Develop a recruitment questionnaire.
4. Develop supporting content (e.g., discussion guide, landing page, online survey).
5. Recruit subjects.
6. Run the research program.
7. Digest results, next steps.

Of these items, the supporting content is often the most overlooked for its value, particularly the discussion guide. In any in-person or phone interview, a discussion guide is crucial so that you know the key questions you should ask each person, in part for consistency but also to make sure each interview yields all the information you need. It will allow you to have a structured dialogue with the person you are engaging with while maintaining flexibility. Likely, you will constantly update this discussion guide at the beginning, but once you have done sufficient interviews, the changes become much less frequent.

2. **Start with Secondary Research . . . But Not Too Much:** Before you go out and start to do primary market research, do some homework so you know at least the basics of the industry. Don't do so much that you think you are an expert of any kind, but don't be totally naïve. You will be wasting the time of those you engage with if you don't know the basics. On the other hand, don't assume all your secondary research is accurate, because sometimes the most interesting opportunities are where conventional wisdom hasn't kept up with, or never matched at all, the reality in the marketplace.
3. **Start Qualitative Before Quantitative:** The most common mistake is to start with a survey. You have to figure out the right questions to ask in a survey, so surveys are useful later but not up front. And while you'll start by asking specific questions to make sure their demographic (age, gender, etc.) and psychographic (personality, opinions, lifestyles) characteristics match your target customer group, your research questions should be very open-ended, such as, "Please describe a good day for you. Now describe a bad day." Another question that some experienced primary market research experts prefer is, "Tell me about the last time you did X." Always follow up with, "Why?," "Why not?," or "You said X. Can you say more?" Get them to tell you real specific

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<sup>2</sup>Elaine Chen's Primary Market Research Primer presentation can be found at <http://www.slideshare.net/chenelaine/primary-market-research-an-overview-on-qualitative-and-quantitative-research-techniques>.

examples. These examples or stories are generally very powerful and easy for the customer to tell you about. Don't add friction by asking for data or too many facts right now. You are probing for those big pain points, the biggest fears and motivators, in their lives. While your interview will be loosely scripted, let the customer take the conversation wherever they want it to go.

4. **Source Candidates to Engage With, and Use Them to Find More Candidates:** The best places to find candidates are at the “watering holes” for your target customer. Watering holes are those places where your target customer congregates physically or digitally. For many religions, that is their place of worship. For fitness enthusiasts, it is probably their high-end gym. For women about to get married, it is Pinterest. For others, it might well be an industry group or conference. For baby-boomer health-conscious consumers, it might well be Whole Foods. Find out what the watering holes are for your target customer because that will be a highly efficient place to begin engaging them. The sourcing process requires some creativity, as do all the parts of the process, but here are some ideas to help you source leads and make initial contact:
  - a. **Physical watering holes:** While digital watering holes can be convenient, you need to be comfortable physically getting out of your workplace and interact directly with your target customer.
  - b. **LinkedIn or Facebook groups:** You can usually find a group that is tied to your target customer and may even be arranged around the problem you are looking to solve. Today this is most often LinkedIn and Facebook, but for your target customer it might be Instagram, Snapchat, or Twitter. This will also change over time as new virtual discussion forums become popular and the existing ones fall out of favor.
  - c. **Blogs or online discussions:** Similar to LinkedIn/Facebook groups. These digital meeting places are very efficient ways of finding candidates, but respect the rules of the blog or forum or you might get banned from the website.
  - d. **Industry groups and membership lists:** A form of watering hole. Depending on the list, you may get a lower response rate than with some of the above methods.
  - e. **Ads:** You can advertise on Google or Facebook, targeted at specific demographics, for as little as \$20 to get the names of interested people and then follow up. And if no one responds, that's important information as well. To be most effective, you should carefully craft the wording of your ads, or you may spend a lot of money getting a lot of responses from people who are not truly in your target customer group.
  - f. **Read Publicly Available Information:** When you do your secondary research, you will likely run across some names linked to your market. Write those names down and find contact information for them. There are various tools to help you find someone's e-mail address (one I know of is emailhunter.co, but there are many others as well). When you contact them, you should be ready for rejection or, more likely, no response, but it only takes one to respond and then you are in. Like the camel's nose in the tent, you can expand from there. You may also want to try engaging with key people on social media like Twitter and build up a relationship that way.
  - g. **The Last Question:** Once you get going, the best way to get candidates is from others in the target customer group. As such, your last question at the end of each interview should be, “Who else do you know that has a similar challenge or opportunity to you that I should speak to? Would you be willing to make an introduction?” Once you find one lead, your goal is to have your list grow by getting multiple new leads from every interview.



5. **Initial Contact:** Now that you have your initial list of people to contact (a list that should continually be growing as you do your research), things get real. You have to persuade your contact to give you at least 15 minutes of their time, depending on how many questions you have, and that is not easy if you are working with a “cold lead” where you are making first contact. When you initially contact the candidate, it is good to reference someone they know. That is easier than ever with LinkedIn, which shows you mutual connections for each person you look up. Start with short e-mails or dialogue to build credibility and rapport. Explain that you are doing research on their industry to try to help make it better, including their job. Be *completely* in inquiry mode and not one bit in sales or advocacy mode at this point. You are not really a company yet, nor do you have a product. If you think you are a company, then that is a problem. Be empathetic to making their job better, because that will show in your interactions. Still, be steeled for lots of rejection. There is copious research about little tips and techniques for interacting with cold leads. For instance, Tina Seelig at Stanford found that if you are physically approaching strangers, it is better to have a female than a male make the interaction.<sup>3</sup> At first, you will probably feel as if making these initial contacts will never work, but you have to stay at it and then it will get much better. It is never easy, but it gets much easier the more you do it.
6. **Act Like a Great Journalist:** I have not been a journalist but have been so impressed when I have interacted with and observed great journalists in action. They have great active listening techniques to get people to talk. The great ones listen with 150 percent of their attention. They have a positive voice and physical stance when engaging. They are incredibly interested and empathetic. They shake their head and say “yes” a lot and are nonjudgmental. They lean forward and listen intently, and visibly so. They make the person being interviewed feel like the most important person in the world. Oh yes, and make sure to smile and be enthusiastic. Humor can help, but sarcasm is not good. The person must like you before they will open up. A couple of ways to verbally engage are using the person’s name a lot and repeating back to the person the words they’ve said.
7. **If You Can, Have Two People Conduct the Interview:** Having two people conduct the interview allows one person to concentrate completely on engaging the interviewee while the others is taking detailed notes and observing the interviewee’s nonverbal signals from another angle. Make sure to write down not just what the person says, but the nonverbal reactions as well. Having two people in the room also allows you more perspectives when reviewing notes afterward.
8. **Constantly Make Sure You Are Interviewing the Right People:** If you interview people who are not in your target customer group, you will get spurious information that will not help you understand your target customer, and in fact may confuse you or lead you astray. Make sure you put together a short recruitment questionnaire (it doesn’t have to be longer than five questions) as part of your research plan that screens out people not in your target customer group. This helps you avoid the aforementioned and ever-present selection bias.
9. **As You Get to Forming Hypotheses, Small “n” Might Well Be Better Than Big “n”:** After you have done some qualitative research, you will begin to form hypotheses about ways you might be able to benefit the target customer. But you don’t want to spend forever on qualitative research to test it out, because you don’t have the time. MIT Professor Drazen Prelec expresses it as small “n” (number of candidates) and big “n,” where small “n” is a small enough

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<sup>3</sup>Seelig, Tina, *What I Wish I Knew When I Was 20*, Chapter 1, HarperOne, 2009.

group size that you can go deep in each interview to understand what is causing the phenomenon you feel is important. A bigger “n” gives you more candidates but less in-depth understanding. In the qualitative stage the smaller “n” is better; then, in the quantitative stage, the larger “n” becomes more relevant to test it out more broadly once you understand the hypothesis in a robust manner.

10. **You Should Be Surprised:** As Catherine Tucker points out, the goal of qualitative primary market research is to develop new hypotheses; so if you are not surprised, you are probably not learning anything. That defeats the purpose of the process. It would also be a pretty clear sign of confirmation bias if you never learn anything, and that is not a positive thing.
11. **Moving to Quantitative:** Once you have developed credible hypotheses for the small “n” sample through your qualitative methods, then you should start to test them more systematically. The scripts and the surveys now get more structured, and you are looking at scripts and surveys that will start to produce numbers, points on a cluster map, and the like. You will now get the data to validate, invalidate, somewhat validate, somewhat invalidate, or leave in the TBD column for your hypotheses.
12. **Perceived as Opposed to Real Value:** Often, as MIT Sloan marketing Professor Duncan Simester has shown in his research, there is a gap between real and perceived value. Both matter, as does the gap. In both your qualitative and quantitative research, understand the difference. Look to understand each of these and then quantify at the end as much as possible.
13. **Don't Always Believe What Is Said:** Often people say things with the best of intent but then do different things in reality. What they do matters more than what they say. A/B testing, where customers are randomly divided into groups and are treated differently to see how the difference in treatment affects the customer's response. Likewise, and well-designed behavioral economics experiments are good ways to see what customers will really do regardless of what they say. You will explore this topic in more detail in Step 21, Test Key Assumptions.

## Results

How do you know when primary market research is complete? It never is. Entrepreneurs and good businesspeople are constantly talking with customers and seeing new opportunities and refining their offerings. That said, there are times when you have enough primary market research to continue to the next step in the 24 Steps. You'll generally know you are at this point when your hypotheses are being validated and new customer contacts are providing little new information. If your hypotheses are being only somewhat validated, you'll have to decide whether to keep iterating on hypotheses before moving on to the next step, or to proceed while continuing primary market research in parallel to develop better hypotheses.

As you go through the steps, you will be continually refining your hypotheses for greater specificity, and you will keep learning about the target customer, so do not think you must have the “perfect” answer before moving on. There are no perfect answers, and forward progress through the 24 Steps is the only way you will be able to rigorously test your assumptions. Sometimes you reach a limit on primary market research where you have to take more concrete steps like a prototype or even a Minimum Viable Business Product (MVBp).

As I mentioned before, people can say one thing—and really mean it—but then do something completely different, so do not expect that your interviews will accurately reflect the person's willingness to become a paying customer. Trust but verify the results. When money changes hands, the credibility of your results increase dramatically.



Toward the end, Step 23, you will be setting up a unified full systems test for the MVBP, which will be the ultimate test for your product. It is likely you will find many surprises—or as I call them, learning opportunities!—when you build the MVBP. But your goal is to find as many of these surprises earlier, especially ones that can be fatal if caught too late in the process. That is why throughout the 24 Steps, you formulate and test hypotheses at almost every step. Good primary market research is essential to validating or invalidating hypotheses quickly so you spend more time building products that customers want.

## Tools of Primary Market Research

The tools of primary market research may seem like a longer list than it actually is. At the end of the day, an entrepreneur has limited time and resources. No one is as invested in a product's design and success as the core team is, so at the start, virtually all of the primary market research has to be done by the founding team. It is very difficult and dangerous to outsource primary market research. You would never outsource your eyes, ears, and brain to someone else, and certainly not in an innovation-driven startup like you envision creating.

The real gold in many cases is not your product, but rather the knowledge you have gained working with the new customers in this emerging market opportunity, since you will know their needs, wants, and context better than anyone else. This is why it is so crucial, when starting your company, that you deal directly with your customers. See firsthand how they like, use, dislike, and misuse your product.

I will talk more about this in Step 18, Map the Sales Process to Acquire a Customer, but I learned a very important lesson from IBM when I got trained there at the start of my career. They said, “Whoever owns the customer owns everything.” That is especially sage advice for a new product in an emerging market.

Here are several methods that entrepreneurs have used for primary market research:

1. **Customer interviews:** As noted above, this is the most common. Essential for qualitative and also good for quantitative.
2. **Observational research:** Watch customers do their work. Potentially, you would videorecord them or record their mouse and keyboard activity. You would ride with them in the passenger seat (real or metaphorically) as they do their job, carefully observing and asking questions at the right time while making sure not to change their behavior through your actions or questions.
3. **Immersion:** Do the customer's work and fully experience all the dimensions of the job in a way that will give you an understanding that may not come from observation.
4. **User tests:** Landing pages and the like don't just draw in candidates but also give important insights into their behavior and preferences. A/B testing is another form of this and can be very effective, especially if it can be done digitally.
5. **Focus groups:** This is another traditional tool that people refer to but has become less and less enthusiastically embraced by entrepreneurs. It can be useful, especially if done very carefully, but it can also have lots of biases and is expensive.
6. **User-driven innovation:** This is a technique described and validated through research by MIT Sloan Entrepreneurship Professor Eric von Hippel. It encourages you to look for the end user with the most acute pain from the problem and see how they are finding or developing a workaround solution.

7. **Outcome-driven innovation:** This framework is also known as “Jobs to Be Done,” created by Anthony Ulwick and popularized by Harvard Business School Professor Clayton Christensen. Outcome-driven innovation is based on the concept that customers have measurable outcomes they are trying to achieve in their day-to-day (aka when they are doing a job), and a company should link its innovation to those customer outcomes because customers buy products to get jobs done.

In the end, because entrepreneurs don’t have much time or money, they focus on 1–4. They might do some other creative things, like a mystery shop of the closest product (I want to encourage this and other creative ideas). For sure, focus groups are falling out of favor with entrepreneurs, with reason. The methodology of 6 and 7 offer interesting alternatives to creative entrepreneurs, and understanding them to make tools 1–4 better designed and more effective is time well spent.

Primary market research is an imperfect process and can be messy, but it is critically important.

## References and Resources

- *Talking to Humans* by Giff Constable: If you read one book on this topic, it should be this one. Very easy read and yet packed with practical knowledge about how to do interviews.
- User Innovation edX course with Professor Eric von Hippel: Excellent, easy way to get knowledge from the originator of the concept. Great content and examples that make the fundamental concept easy to understand and apply. The online class is available at <https://www.edx.org/course/user-innovation-path-entrepreneurship-mitx-uinov8x-0>; he also has a website with extensive free downloadable information at <https://evhippel.mit.edu/books/>.
- Elaine Chen’s portfolio of primary market research materials: Elaine is on the MIT faculty and our go-to practitioner for doing primary market research. She has a long history of doing ethnographic research and using it to build products, both working at startups and as a consultant to other startups. Here is a list of her easy-to-read yet very practical materials:
  - “3 Go-to Techniques for Primary Market Research,” *Huffington Post*, [http://www.huffingtonpost.com/entry/three-go-to-techniques-for-primary-market-research\\_us\\_577d4001e4b0746f5648b963](http://www.huffingtonpost.com/entry/three-go-to-techniques-for-primary-market-research_us_577d4001e4b0746f5648b963)
  - “How Startups Can Run Better Landing Page Tests,” *Xconomy*, <http://www.xconomy.com/boston/2016/04/07/how-startups-can-run-better-landing-page-tests/>
  - “A Primer on Primary Market Research,” <http://www.slideshare.net/chenelaine/primary-market-research-an-overview-on-qualitative-and-quantitative-research-techniques>
  - Templates and samples:
    - Research protocol template: <http://www.slideshare.net/secret/epzen6sYi1gWGr>
    - Sample discussion guide: <http://www.slideshare.net/secret/d4a2d3FzWdDnNU>
    - Sample recruitment questionnaire: <http://www.slideshare.net/secret/iIMMrhNvWJhv1h>
    - Sample recruitment form for internal use: <http://www.slideshare.net/secret/JzXpLWZmlLoAGq>
- Jobs-To-Be-Done: See <http://strategyn.com/customer-centered-innovation-map/> as a starting point.

## WORKSHEETS

### The Primary Market Research Pledge

I have all of my students sign this pledge at the beginning of the semester before they start to work on their projects. You should also fully commit yourself to proper primary market research by having each member of your team sign this pledge.

#### PLEDGE TO SERVE THE INTERESTS OF THE CUSTOMER

I do hereby solemnly swear to follow the lead of potential customers in the pursuit of a product and/or service while starting and building my start-up.

I recognize that I am subject to confirmation bias, and as such will approach primary market research as an opportunity to question assumptions and to search for different alternatives.

I understand that it is not a sign of weakness, lack of intellect, or other shortcoming to modify or completely change the idea with which I started. In fact, I acknowledge that failing to make adjustments is a likely sign of confirmation bias. When we discover new information, we must be willing to change.

This does not mean it is the customer's job to design the product, because that job is mine. But I will seek to honestly understand the customers' needs, wants, pain points, pressures, opportunities, and much more to design a solution that will create great value for them and minimize any friction it takes for them to adopt it.

Print name: \_\_\_\_\_

Signature: \_\_\_\_\_

Date: \_\_\_\_\_

**Primary Market Research Worksheet I: Preparation**

Make a new copy of this worksheet for each market segment you analyze.

---

**1. Secondary market research sources and key lessons learned:**

- a. \_\_\_\_\_  
\_\_\_\_\_  
\_\_\_\_\_
- b. \_\_\_\_\_  
\_\_\_\_\_  
\_\_\_\_\_
- c. \_\_\_\_\_  
\_\_\_\_\_  
\_\_\_\_\_

**2. Profile(s) of the people you want to engage with** (e.g., description of end user, economic buyer, champion, industry analysts, influencers; description should be enough to help you identify, find, and deselect potential candidates. Can include demographics and psychographics—see Step 3 for more info):

1<sup>st</sup> Targeted Profile Name: \_\_\_\_\_

Description: \_\_\_\_\_  
\_\_\_\_\_

2<sup>nd</sup> Targeted Profile Name: \_\_\_\_\_

Description: \_\_\_\_\_  
\_\_\_\_\_

3<sup>rd</sup> Targeted Profile Name: \_\_\_\_\_

Description: \_\_\_\_\_  
\_\_\_\_\_

4<sup>th</sup> Targeted Profile Name: \_\_\_\_\_

Description: \_\_\_\_\_  
\_\_\_\_\_

5<sup>th</sup> Targeted Profile Name: \_\_\_\_\_

Description: \_\_\_\_\_  
\_\_\_\_\_

**3. Your general recruitment script (be clear on who you are, why you want to engage, what you are asking for):**

\_\_\_\_\_  
\_\_\_\_\_  
\_\_\_\_\_  
\_\_\_\_\_



**Primary Market Research Worksheet II: Execution**

Make a new copy of this worksheet for each market segment you analyze.

---

1. Which profile are you engaging with: \_\_\_\_\_

How well does this person fit the profile: \_\_\_\_\_

Type of engagement (e.g., interview, observation, test, immersion, other): \_\_\_\_\_

---

2. Your general script/framework for engagement (Guidance: open-ended → qualitative insights/hypotheses → [if appropriate] quantitative insights/hypotheses and data) (approximately 5 key items):

a. \_\_\_\_\_

\_\_\_\_\_

b. \_\_\_\_\_

\_\_\_\_\_

c. \_\_\_\_\_

\_\_\_\_\_

d. \_\_\_\_\_

\_\_\_\_\_

e. \_\_\_\_\_

\_\_\_\_\_

\_\_\_\_\_

3. What did you learn?

\_\_\_\_\_

\_\_\_\_\_

\_\_\_\_\_

4. What surprised you?

\_\_\_\_\_

\_\_\_\_\_

\_\_\_\_\_

5. Which hypotheses did you seem to confirm? How and why?

\_\_\_\_\_

\_\_\_\_\_

\_\_\_\_\_

6. Which hypotheses did you seem to invalidate? How and why?

7. Which hypotheses were you unable to reach conclusions on? Why?

8. What new questions were raised in this engagement?

9. List of additional future candidates obtained from current candidate

| Name & contact info | Profile type | Why does the current candidate think we should engage with this person, plus any other info to build rapport |
|---------------------|--------------|--------------------------------------------------------------------------------------------------------------|
|                     |              |                                                                                                              |
|                     |              |                                                                                                              |
|                     |              |                                                                                                              |
|                     |              |                                                                                                              |
|                     |              |                                                                                                              |

10. What changes should I make for the next primary market research engagement?

Profile changes: \_\_\_\_\_

Qualitative insights/hypotheses updated (could be more or less than 3):

a. \_\_\_\_\_

b. \_\_\_\_\_

c. \_\_\_\_\_

**Quantitative insights/hypotheses updated (optional—only if appropriate and you are far enough along) (could be more or less than 3):**

a. \_\_\_\_\_

b. \_\_\_\_\_

c. \_\_\_\_\_

**Script update:**

a. \_\_\_\_\_

\_\_\_\_\_

b. \_\_\_\_\_

\_\_\_\_\_

c. \_\_\_\_\_

\_\_\_\_\_

d. \_\_\_\_\_

\_\_\_\_\_

**II. Headline for this engagement:**

\_\_\_\_\_

\_\_\_\_\_

\_\_\_\_\_

\_\_\_\_\_

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# STEP 2

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## Select a Beachhead Market

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### WHAT IS STEP 2, SELECT A BEACHHEAD MARKET?

Select one market segment from the Market Segmentation analysis, Step 1, to be the first market your business will focus on to achieve initial business success.

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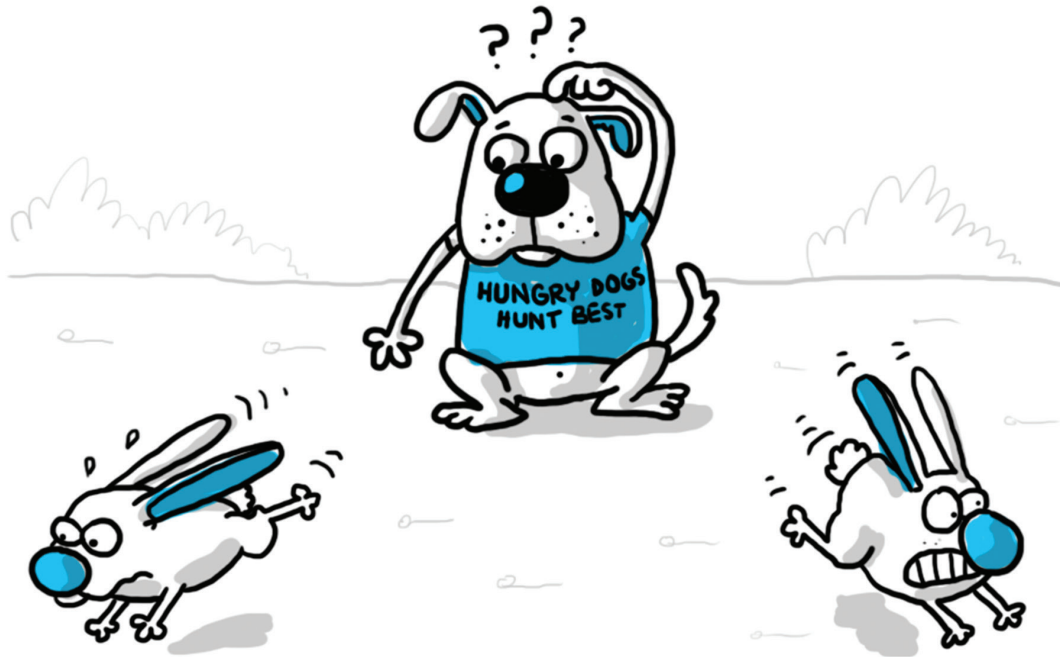
### WHY DO WE DO THIS STEP, AND WHY DO WE DO IT NOW?

As a new entity, you have limited resources, so focusing those resources is essential. You do this step now because, now that you have completed at least a first pass Market Segmentation, you can start to intelligently concentrate your efforts on a single market segment to make better and faster progress.

**By the Book:** See pages 41–45 of *Disciplined Entrepreneurship* for basic knowledge on this step. See pages 45–47 of *Disciplined Entrepreneurship* for examples of how different companies and teams have addressed this step.

# “PERSON WHO CHASES TWO RABBITS CATCHES NEITHER”

— ROMANIAN PROVERB



## PROCESS GUIDE

The *Merriam-Webster Dictionary* defines beachhead as “a beach on an enemy’s shore that an invading army takes and controls in order to prepare for the arrival of more soldiers and supplies.” The analogy for entrepreneurs is that to optimize your chances of success in a timely manner, you will employ the same game plan, choosing a small market segment you can control until your company has sufficient resources to enter other markets.

First, ask yourself: Are the markets from your Market Segmentation in Step 1 well-defined enough and small enough to attack successfully and not only conquer, but dominate? You will compare each market against the three conditions that define a market, which I have refined from *Disciplined Entrepreneurship* and focused on the end user:

1. **Same product:** The end users will all use the same product. If you have to make slightly different products to appeal to the different end users in your market, it’s too broad of a market.
2. **Same sales process:** The sales process to the end users will be the same, meaning interchangeable language, value proposition, sales channels, etc. If your salespeople have to change tactics from one end user to the next, your market’s not targeted enough!

3. **Word of mouth:** There is strong word of mouth between end users in this community. If your end users don't talk to each other—if they are separated by large distances, for example—you're going to have a hard time building up sales across the full group of end users. Refine it!

Use the Market Segmentation Certification worksheet at the end of this chapter to analyze the markets from your Market Segmentation, then go back and refine your markets if necessary—it's almost always a requirement to further segment your markets.

Once your Market Segmentation is sufficiently refined, it's time to choose your Beachhead Market. A few tips:

- Involve the whole founding team. Presumably you've already refined the composition of your team somewhat in Step 1; continue to do so here. You want to finish this step with increased cohesion on your team. You also want to identify and address any team dynamics issues. You haven't worked together much, so you'll likely have some issues. Be honest about them, and recognize and address them professionally. If you don't do it now, you'll pay a steeper and steeper price as time goes on—in my experience, failure to address team issues up front is the number one reason companies fail. The hardest part of a startup is not technology or strategy, it's people.
- Avoid “analysis paralysis.” There is almost always more than one path to success. Your goal is to eliminate the paths with the lowest odds of success, and choose one path with relatively good odds. Then, take your chosen path and pursue it without thinking about “what could've been”—burn the boats! Pursue it until it proves not to work or is much less attractive than originally anticipated.
- Keep doing primary market research! Part of why you narrow your selections is because primary market research is time consuming and expensive in terms of opportunity costs, so you want to focus your research on compelling candidates for Beachhead Market. But don't stop doing primary market research just because your Market Segmentation is done. In fact, you have only just begun!

You'll consider the same seven key criteria that you used during the Step 1 Market Segmentation:

1. Is the target customer well-funded?
2. Is the target customer readily accessible to your sales force?
3. Does the target customer have a compelling reason to buy?
4. Can you deliver a whole product?
5. Is there entrenched competition?
6. Can you leverage this market segment to enter others?
7. Is the market consistent with the values, passions, and goals of the team?

Use the Beachhead Market Selection worksheet to compile your notes on your potential Beachhead Markets and to rank and make a decision about which will be your beachhead. It may take a number of iterations, and you might not end up being right with your ultimate selection. But if you later determine your selection will not work, you can always come back (much more easily than if an army chooses the wrong beachhead!) and restart at this point with more confidence and skill in executing the process. For now, you want a good amount of confidence that your structured analysis and plentiful primary market research have brought you to this reasonable decision.

Finally, before you move on to the next step, all of your team members must sign the Agreement on the Beachhead Market Selection. It is important that everyone is on the same page (literally!) and that they are enthusiastically behind the direction your company will be going in. Companies that thrive in their Beachhead Markets are companies with strong cohesion and unity.

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### GENERAL EXERCISES TO UNDERSTAND CONCEPT

*See the back of the book for answers to these questions.*

1. In World War II, what was the beachhead for the Allies as they invaded Nazi-controlled Western Europe? Why was this a good beachhead? Where did the Allied forces go from there (i.e., what were their “follow-on markets”?)

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2. What was the Beachhead Market for Facebook?

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3. For Pinterest?

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4. For desktop computers in businesses?

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5. For Apple?

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6. For the first cell phones?

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## WORKSHEETS

## Market Segmentation Certification Worksheet

- a. Are all market segments actually market segments in that they meet all of the three criteria for a market (similar product, similar sales process, word of mouth)?  

☐ Yes☐ No
- b. Do your market segments identify actual human end users and not just general companies or department in companies?  

☐ Yes☐ No
- c. Are the market segments segmented down into reasonable sizes for your start-up to address (i.e., less than a billion and more than a few hundred thousand)? (More on this later in Step 4.)  

☐ Yes☐ No
- d. Are these criteria met? If these criteria are not met, then continue to iterate on the market segmentation matrix until they are.  

☐ Yes, then done☐ No, then iterate (return)
- e. Understand that your first Market Segmentation Analysis does not have to be correct; it will certainly have lots of holes in it, but make an intellectually honest attempt (i.e., without biases as much as possible) to answer the fundamental questions in the matrix as best you can. Only then can you make an educated guess on what the top Beachhead Markets are to analyze further.  

☐ I understand, and now I can proceed.

## Beachhead Market Selection Worksheet

| Criteria                                                                                                                            | Market Segment = _____ | Market Segment = _____ | Market Segment = _____ | Market Segment = _____ |
|-------------------------------------------------------------------------------------------------------------------------------------|------------------------|------------------------|------------------------|------------------------|
| <b>Rating is Very High (best), High, Medium, Low, Show Stopper (worst)</b>                                                          |                        |                        |                        |                        |
| 1. Economically attractive                                                                                                          |                        |                        |                        |                        |
| 2. Accessible to your sales force                                                                                                   |                        |                        |                        |                        |
| 3. Strong value proposition                                                                                                         |                        |                        |                        |                        |
| 4. Complete product                                                                                                                 |                        |                        |                        |                        |
| 5. Competition                                                                                                                      |                        |                        |                        |                        |
| 6. Strategic value                                                                                                                  |                        |                        |                        |                        |
| 7. Personal alignment                                                                                                               |                        |                        |                        |                        |
| Overall rating                                                                                                                      |                        |                        |                        |                        |
| <b>Rating for ranking is 1 (most attractive) to 4 (least attractive) – key factors is most important contributor to the ranking</b> |                        |                        |                        |                        |
| Ranking                                                                                                                             |                        |                        |                        |                        |
| Key deciding factors                                                                                                                |                        |                        |                        |                        |

## DECISION FOR TEAM TO SIGN OFF ON THE BEACHHEAD MARKET

### AGREEMENT ON THE BEACHHEAD MARKET SELECTION

We have systematically analyzed the various potential market segments and arrived at a decision for one beachhead market (not more than one). We each understand that in real life, there is always more than one path to success. The key is to choose one that will work and avoid those that will not work—but choose one and get going on it! As such, we each understand that we are not going to be locked into a state of analysis paralysis whereby we are going to try to take out all the risk in this decision because that is not possible. We will also not spend unnecessary time trying to determine which of the successful paths is slightly better than the others because there are so many unknowns.

But what is possible is to focus on one and only one market, and that is what we are going to do. We have deselected all the other market segments and will not be distracted by them. I will personally do this, and I will also hold my teammates accountable and point out when the team starts to get distracted. If a teammate points this out to me, then I will listen carefully and refocus if I am the cause of the distraction.

As such, each of us does by solemnly swear that we will focus on the \_\_\_\_\_ market segment and pursue it until we fully achieve our objectives (e.g., market leader, cash flow positive in this market segment, etc.) or until it has been further segmented or until we have proven that it is not viable. If we do switch, we will do it as a team and then give the new market our focus, but until such time, we will be completely committed to one and only one market segment, the one noted above.

Team Member #1: Signature \_\_\_\_\_ Name \_\_\_\_\_ Date \_\_\_\_\_

Team Member #2: Signature \_\_\_\_\_ Name \_\_\_\_\_ Date \_\_\_\_\_

Team Member #3: Signature \_\_\_\_\_ Name \_\_\_\_\_ Date \_\_\_\_\_

Team Member #4: Signature \_\_\_\_\_ Name \_\_\_\_\_ Date \_\_\_\_\_

Team Member #5: Signature \_\_\_\_\_ Name \_\_\_\_\_ Date \_\_\_\_\_

# STEP 3

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## Build an End User Profile for the Beachhead Market

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### WHAT IS STEP 3, BUILD AN END USER PROFILE FOR THE BEACHHEAD MARKET?

Using primary market research techniques, build out a description, including demographic and psychographic information, with specific facts about the end users of your product. You will include their needs and wants as well as invaluable information about their behavior.

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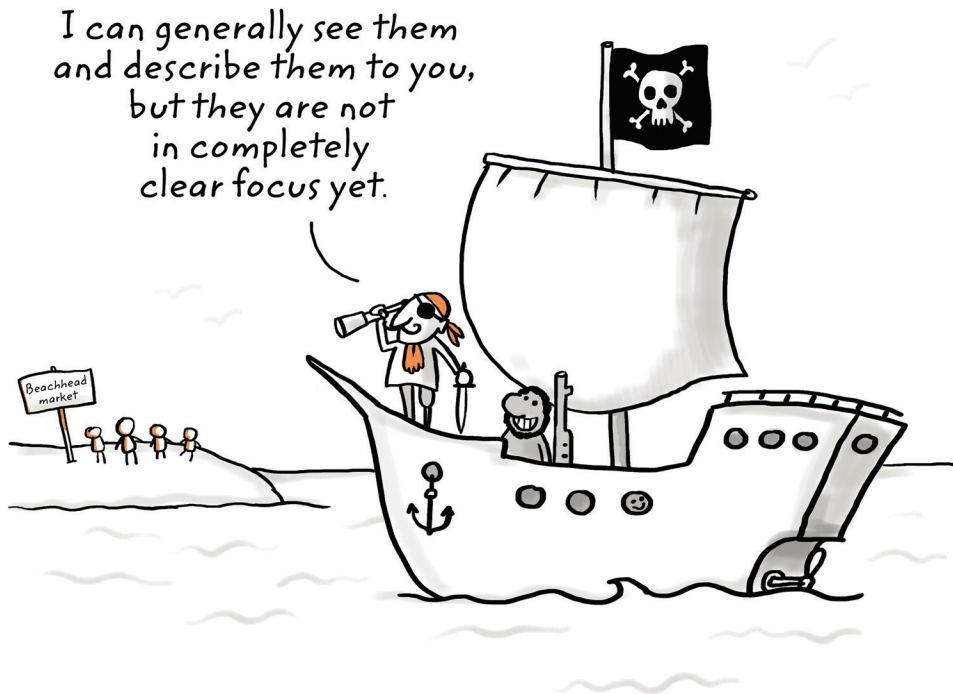
### WHY DO WE DO THIS STEP, AND WHY DO WE DO IT NOW?

There are three reasons you do this step:

1. To keep the focus on the customer
2. To validate your selection of Beachhead Market by deepening your understanding of the end user
3. To provide the necessary information to estimate the Total Addressable Market (TAM) in the next step

**By the Book:** See pages 49–53 of *Disciplined Entrepreneurship* for basic knowledge on this step. See pages 53–56 of *Disciplined Entrepreneurship* for examples of how different companies and teams have addressed this step.





*Building the End User Profile brings the focus to the actual person who uses your product, so that real value is created by your product.*

## PROCESS GUIDE

Once you have identified your Beachhead Market, you need to dive in and do a detailed analysis of the market to see if it is in fact viable, see if you have scoped it out and defined it properly, and start to develop a game plan to effectively “attack” this market.

As I describe more fully in *Disciplined Entrepreneurship*, the customer is not a monolithic being, but consists of a number of people playing different roles, particularly when selling to a business. Even if a person both uses the product (“end user”) and makes the decision to purchase the product (“primary economic buyer”), there may be a range of other individuals involved in the decision, and you’ll fully explore that in Step 12, Determine the Customer’s Decision-Making Unit.

You will start analyzing the customer for this market by developing the End User Profile. Why start with the end user and not the person who will pay? Because if the end user does not use your product, the customer realizes no value in buying your product and nobody will pay you for it. If by chance someone does pay you once, they won’t buy again. In either case, you will not have an economically sustainable business.

This workbook focuses on one-sided markets, where only one kind of end user is required for the product to work, so that you have a good grounding in the fundamental principles of building an End User Profile. Multisided markets, such as marketplace platforms like eBay that attract both buyers and sellers, use the same techniques described herein, but they require developing an End User Profile for each side of the market.

The fundamental concept of the End User Profile is that it must be a person and not an organization or department. In the end, it is a human being, or set of human beings, who will use your product

or oversee the use of your product, so you need to deeply understand this person, or as I say in class, you must “walk a few miles in their shoes.”

There are six items that are the most common when building a useful End User Profile. You may want to expand or contract this list depending on the complexity and economics of your situation.

1. **Demographics:** Demographics are quantifiable data that can be used to identify your target end user and also filter out those who are not your end user. These are things like gender, age, income, geographic location, level of education, school attended, and other relatively easily measurable factors. The good news is that these are pretty easy to figure out, but the bad news is that they might not always be useful in understanding your end user. Knowing your end users are women in their 20s, even if you narrow the group down to a certain income group and geographic location, does not gain you much information if there exist wildly divergent attitudes, values, or fears in that group. As a result, the demographics are becoming less important than the psychographics. Definitely analyze the demographics, but then decide how much emphasis to put on them as you move forward. Use the worksheet below and sources online to customize which demographics you collect for your situation.
2. **Psychographics:** *Merriam-Webster Dictionary* defines psychographics as “market research or statistics classifying population groups according to psychological variables (as attitudes, values, or fears).” The simple working definition I give in class is that psychographics refers to the qualitative description of your target end users. What are their aspirations? Who are their heroes? Understand how they behave based on what they believe, rather than the general identifiable characteristics that demographics give you. Psychographics are immensely valuable but are much harder to get or analyze. Lots of government or industry database services, or even Facebook, can break down information by age, geography, industry or job classification, or income, but far fewer can be searched by “number one fear.”
3. **Proxy Product:** What products do these end users also buy today? This information is valuable because it shows how the end users already behave, instead of how they might theoretically behave if your product were to exist. Sometimes, proxy products are complementary products. If someone owns a Lexus automobile (a high-end and expensive but high-quality car), they would likely buy an expensive but high-quality brand of tires like Michelin. Other times, proxy products demonstrate similar demographic and psychographic characteristics. If someone buys a Toyota Prius, a hybrid gas-electric car that is more expensive than Toyota’s Camry sedan, they are indicating that they are likely interested in mitigating their environmental impact and that they have enough money to act on that passion. They are likely good candidates to also own, or at least be very interested in, solar panels.
4. **Watering Holes:** Watering holes are the places where your end users congregate and exchange information. They are reliable places for information about your product to be spread by “word of mouth,” which is far more effective than advertising. They also provide some corroboration for your demographic and psychographic information because you can infer things about people by the company they keep. The forms that watering holes take can be very diverse in nature as they can be industry conferences, Saturday morning soccer fields, bars (literal watering holes), online platforms, and many others.
5. **Day in the Life:** Literally tell the story of what it is like to walk in your end user’s shoes for a typical day. In this step, since you have not yet focused on one end user you will call the Persona, the “day in the life” will be a composite—but make it a composite of multiple end users

whom you have actually spent a day observing and talking with. The resulting story sets aside abstract studies and statistics and brings it all home to your team by helping them understand what happens in real life. It also reinforces and helps you refine the rest of your End User Profile.

6. **Biggest Fears and Motivators:** What keeps your end users awake at night more than anything else? What are your customers' top priorities—their fears and motivators? I don't mean with relation to the product you're hoping they will buy; I mean in general. When you do your primary market research, sit with end users and make a comprehensive list of all their concerns. Then, ask them to weight their priorities by giving more points to higher priorities, with a total of 100 points across all the priorities. This exercise forces prioritization. As part of the End User Profile, you'll want a weighted list of your end user's top five or so priorities. Confirm this list with the end users you talk to as much as possible. This list will be extremely useful going forward.

Your primary market research from previous steps may be useful here, but you will likely need to do additional primary market research to complete your End User Profile. Don't guess or make stereotypical judgments about what your End User Profile "should" look like in an attempt to save time. In the end, you want information about real people, because it's real people who will use your product, not fictional characters in a marketing document.

GENERAL EXERCISES TO UNDERSTAND CONCEPT

1. Pick a successful product that you know well. Who do you think the target end user is for that product? Write down the demographics and psychographics, and be as specific as you can.

Demographics (your guess): \_\_\_\_\_

Psychographics (your guess): \_\_\_\_\_

Now go to the product’s website, look up advertisements for the product in the media, and see if the message there is consistent with your profile. Do the end users depicted look like what you expect them to? Is the product appealing to the priorities of your profile?

Demographics (per website/ads): \_\_\_\_\_

Psychographics (per website/ads): \_\_\_\_\_

What messages, images, proxy products, and other factors give you hints as to the product’s End User Profile?

\_\_\_\_\_

\_\_\_\_\_

2. Politicians and their teams are extremely aware of “end voter” profiles. Pick two candidates who are competing directly against each other in a current or recent election, and try to define each candidate’s “base,” their core group of voters, which is analogous to a Beachhead Market. In doing so, look at the candidates’ contrasting messages and images and notice how they reassure and attract these people to the candidate.

|                                                                                                                                                  | Candidate 1: | Candidate 2: |
|--------------------------------------------------------------------------------------------------------------------------------------------------|--------------|--------------|
| Demographics of base:                                                                                                                            |              |              |
| Psychographics of base:                                                                                                                          |              |              |
| “Proxy products”—what things do members of the base actually do in their lives that demonstrate they might be inclined to support the candidate? |              |              |
| What watering holes do members of the base frequent?                                                                                             |              |              |
| What is the biggest fear or motivator of their base?                                                                                             |              |              |

WORKSHEET

End User Profile for Beachhead Market

|                                                                                                                                                                                                                          |                                                                                                                                                                                                                                  |
|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Demographics (be sure to determine which are relevant for your situation, but some general categories are gender, age, income, geography, job title, education, ethnicity, marital status, political affiliations, etc.) |                                                                                                                                                                                                                                  |
| Psychographics (as above, this needs to be customized for your situation, but examples are aspirations, fears, motivators, hobbies, opinions, values, life priorities, personality traits, habits, etc.)                 |                                                                                                                                                                                                                                  |
| Proxy Products (what other products do these end users own and which do they value the most? Which products have the highest correlation with your target end users?)                                                    |                                                                                                                                                                                                                                  |
| Watering Holes (e.g., locations, associations, online platforms—and sequence them in priority and indicate intensity of each)                                                                                            |                                                                                                                                                                                                                                  |
| Day in the Life (describe a day in the life of the end user and what is going on in his or her head)                                                                                                                     |                                                                                                                                                                                                                                  |
| Priorities (what are your end user's priorities, and assign a weighting to each so that it adds up to 100)                                                                                                               | <div><div></div>Weighting: <div></div></div> <div><div></div>Weighting: <div></div></div> <div><div></div>Weighting: <div></div></div> <div><div></div>Weighting: <div></div></div> <div><div></div>Weighting: <div></div></div> |

Now that you know the profile of the end user, you can assess future interactions you have with potential customers to determine whether they are actually in your End User Profile and are worth your time. If they do not fit the profile, engaging with their needs will distract you from building a great product to meet a specific customer pain. And you can now estimate how many end users exist in your market, which leads you directly to Step 4, Estimate the Total Addressable Market (TAM) for the Beachhead Market.

# STEP 4

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## Estimate the Total Addressable Market (TAM) for the Beachhead Market

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### WHAT IS STEP 4, ESTIMATE THE TOTAL ADDRESSABLE MARKET (TAM) FOR THE BEACHHEAD MARKET?

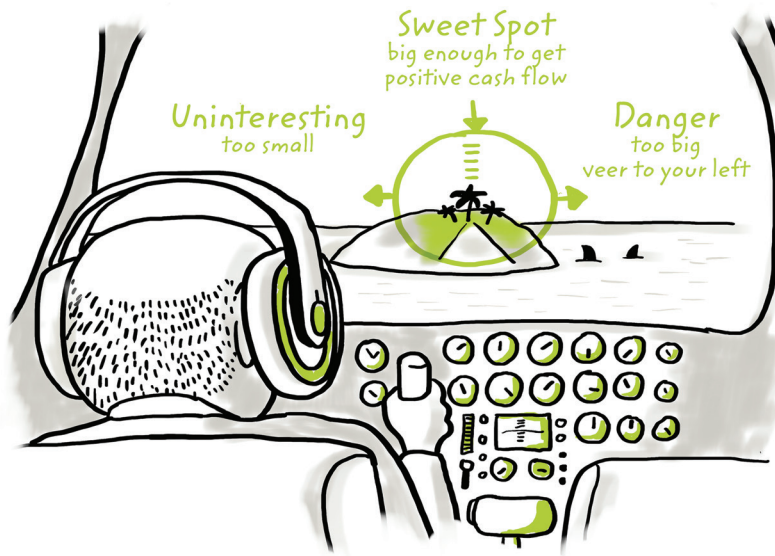
Estimating the TAM is a process to estimate the total revenue you could achieve (in units of dollars per year) in your Beachhead Market if you achieved 100 percent market share.

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### WHY DO WE DO THIS STEP, AND WHY DO WE DO IT NOW?

The TAM needs to be an appropriate size for your new venture. Too big and you won't be able to mobilize enough resources to compete; too small and your company won't have enough revenue to sustain itself. The exercise of calculating the TAM also increases your team's knowledge of the market. Beyond just a simple number, your team will exit this step understanding what makes the selected Beachhead Market attractive. This understanding may be more important than your TAM size and a simple "go/no go" decision.

**By the Book:** See pages 57–61 of *Disciplined Entrepreneurship* for basic knowledge on this step. See pages 61–67 of *Disciplined Entrepreneurship* for examples of how different companies and teams have addressed this step.



Beachhead TAM calculation  
is your sanity check  
that you are headed  
in the right direction

### PROCESS GUIDE

To calculate the TAM, you will do the following:

- Estimate the number of end users in the Beachhead Market, using a combination of top-down and bottom-up analysis.
- Estimate the annual revenue that each end user is worth to your company.

The TAM will be helpful in determining whether your Beachhead Market is too big or too small<sup>1</sup>, but remember that it is a general estimate. You should not present it as a precise number. It is extremely important to always show your assumptions so that others can understand your logic.

The TAM is also a good way for your team to understand the broader context of the Beachhead Market. The previous and subsequent steps are all about narrowing your focus, so this step allows you to take in the larger picture of what you are looking to achieve.

<sup>1</sup>In *Disciplined Entrepreneurship* on page 60, I state that if “your TAM is less than \$5 million per year it is possible that your new venture has not identified a big enough Beachhead Market.” I would like to emphasize and clarify that the lower end number was a very general guideline and was in the context of the United States. You should feel free to entertain smaller markets, but think carefully if you are being ambitious enough in the long term. Many have rightfully justified smaller markets, especially outside the United States.

Start by estimating the number of end users in the Beachhead Market. You will use a combination of top-down analysis (based on secondary market research) and bottom-up analysis sometimes called “counting noses”—counting the number of end users one by one). Since bottom-up analysis is more difficult, I have reserved that process guide for the “Advanced” section at the end of this chapter.

In a top-down analysis, you will use the criteria from your end user profile from Step 3 to locate secondary research that helps you demonstrate how many end users exist. In particular, the criteria from the demographics, proxy products, and watering holes categories are the easiest to use for this analysis.

You are unlikely to find one secondary source that matches all your criteria. Therefore, select a few key criteria (try to simplify to four or fewer) that help you narrow down the information the secondary sources give you. For instance, how many schoolteachers own two houses? You may need to pull the number of multiple-house owners, and the number of schoolteachers, and figure out an intelligent way to combine the numbers based on other estimates. Refer to the OnDemandKorea example in *Disciplined Entrepreneurship* (pages 64–76) if you are unsure of where to start.

Fill out the Top-Down Estimate worksheet with your criteria and number of end users, along with an explanation of the assumptions you are making.

Next, determine how much revenue each end user is worth to you each year. This part’s tougher. Remember you’re not determining the price of your product (that starts in Step 16); you’re making a first pass estimate on the customer’s willingness and ability to pay for a solution. Don’t indicate precision that you clearly do not have, but instead focus on getting an order of magnitude.

Here are three good ways to start an estimate on the annualized revenue per end user:

1. **What the customer currently spends.** The customer is likely spending money already to try to solve the customer pain, or spends money on a product that causes the customer pain and your product would replace. You’ll want to know:

- How much does each product cost?
- How many of each product does the customer buy for the end user?
- What is the average lifetime of the product before it’s replaced?

The annualized revenue is the total cost per end user of the product(s) the customer buys for the end user, divided by the lifetime. For instance, if each customer buys one automobile at \$15,000 that lasts for five years, the annualized revenue is  $\$15,000 / 5 = \$3,000$ .

2. **The customer’s available budget.** Think about the following:

- When you look at the market today, how much is being spent overall to solve the problem that you are looking to solve for a typical user?
- How much money does the customer have (household income, business revenue, etc.)?
- What fraction of that amount could you see being allocated to solve this problem?

3. **Comparables.** Comparables are similar products or data points in different markets that you can use to bolster your TAM analysis. There will be no exact comparable, as you are doing something new, but often you can find companies that provide data points that are close enough to what you intend to do that they are very valuable. For instance, if you are creating a product whose revenue is supported by advertising, what are current advertising rates for similar demographics to your end user? Comparables require some creative thinking, but they can be extremely valuable to sanity-check your other TAM estimates.



After you have come up with these various data points, triangulate against them and make a judgment call as to what you think is the appropriate range at this point. Remember, you will not get this precisely right, so the key is to spend enough time to make an informed guess at this point without investing a tremendous amount of time and effort (it is important to keep moving) and then revisit it later.

### Other Important Considerations for TAM

The single number of the TAM is a simplification to give you a quick sense of the magnitude of your Beachhead Market. Before you draw a final conclusion from this number, there are some other important factors you should consider:

- **Profitability:** How profitable is the revenue? Is it software where the profitability is essentially over 99 percent? This will make your TAM size more attractive. Or is it a commodity like energy where your profitability on the revenue could be 10 percent or even less? That makes the number much less attractive. In most businesses, your goal in the Beachhead Market is to get to positive cash flow if possible prior to expanding to adjacent markets.
- **Time to Conquer Market:** How long will it take to succeed or fail in this market? Is it a mobile app that will likely succeed or not in six months? That is good. Or rather, is it more like a medical device or new drug where it will take years to learn your fate? That is a negative consideration.
- **Compound Annual Growth Rate (CAGR) of Overall Revenue:** Is this a market that is just starting up and has great growth potential? That would be a positive factor. Or is it a mature market where users have set habits and the total market size is in decline? That would be a negative factor.
- **Anticipated Market Share:** Is this a winner-take-all market driven by networking effects? That could be a positive factor if you have a strong competitive position. Or is it a market that will have many players and no player will get more than a small fraction of the market? That would be a negative factor.

There are other considerations as well (such as how much investment will be required, what is the strength of the current entrenched “competitor” — a lot of that would have also come up in the Beachhead Market selection process in Step 2), but this is sufficient to have a good dialogue with your team. While the TAM size and the other considerations are important in determining whether a Beachhead Market is well-defined enough to proceed or not, do not forget the seven factors in Step 2 that led you to choose the initial market segment you did. The size of the market is just one dimension to evaluate when determining how confident you are in your selection of Beachhead Market. You are balancing the TAM size with the odds of success and the strategic value of the market (i.e., how well this market will strengthen your Core and how well it positions you for follow-on markets).

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### GENERAL EXERCISES TO UNDERSTAND CONCEPT

1. What do you think the TAM is for toothbrushes in the United States? What assumptions did you make in calculating it?

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2. Now what would you estimate as the TAM in the United States for high-quality electric toothbrushes that cost \$150? What assumptions did you make in calculating it?

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3. What are the biggest unknowns in your assumptions that you would need to research further?

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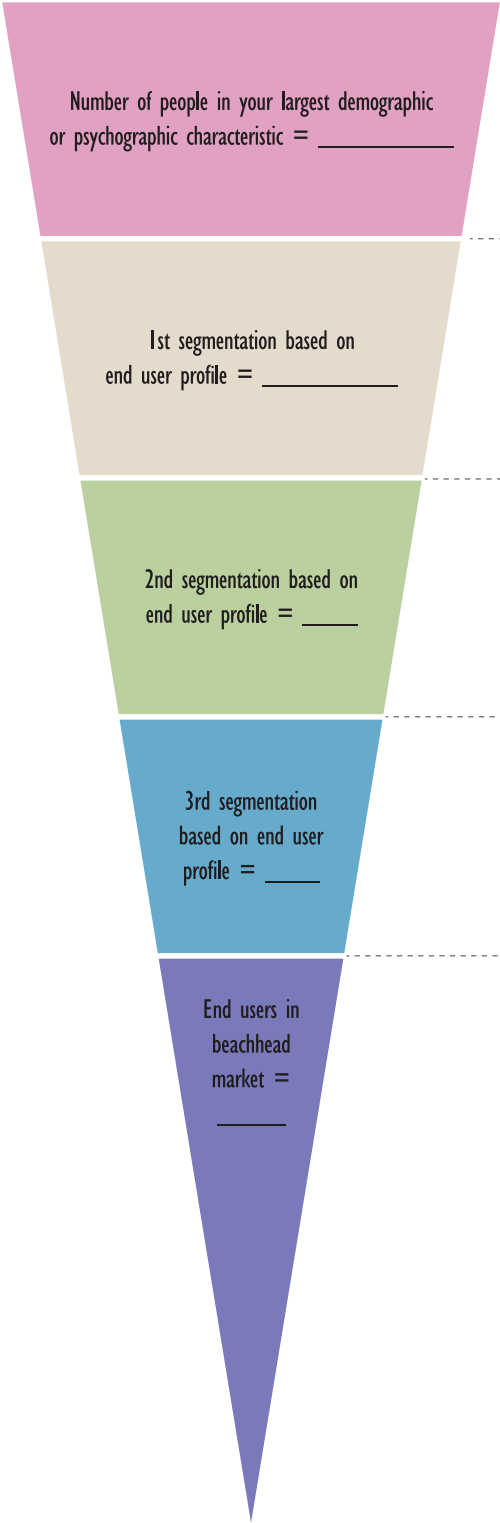
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WORKSHEETS

Top-Down Estimate of Number of End Users in Beachhead Market



Based on End User Profile characteristic: \_\_\_\_\_  
Assumption(s): \_\_\_\_\_  
Source(s): \_\_\_\_\_

Based on End User Profile characteristic: \_\_\_\_\_  
% of previous segment: \_\_\_\_\_ %  
Assumption(s) for calculation: \_\_\_\_\_  
Source(s): \_\_\_\_\_

Based on End User Profile characteristic: \_\_\_\_\_  
% of previous segment: \_\_\_\_\_ %  
Assumption(s) for calculation: \_\_\_\_\_  
Source(s): \_\_\_\_\_

Based on End User Profile characteristic: \_\_\_\_\_  
% of previous segment: \_\_\_\_\_ %  
Assumption(s) for calculation: \_\_\_\_\_  
Source(s): \_\_\_\_\_

Based on End User Profile characteristic: \_\_\_\_\_  
% of previous segment: \_\_\_\_\_ %  
Assumption(s) for calculation: \_\_\_\_\_  
Source(s): \_\_\_\_\_

|           |                                                                                                                         |  |
|-----------|-------------------------------------------------------------------------------------------------------------------------|--|
| <b>1.</b> | <b>One Time Charge Data Point</b>                                                                                       |  |
| 1a        | Estimation of price per unit                                                                                            |  |
| 1b        | Number of units needed per end user                                                                                     |  |
| 1c        | Average life of product in years                                                                                        |  |
| 1d        | Annualized revenue (1a*1b)/1d (Data Point 1)                                                                            |  |
| <b>2.</b> | <b>Budget Available Data Points</b>                                                                                     |  |
| 2a        | Current spending per end user (Data Point 2)                                                                            |  |
| 2b        | Total budget for the end user                                                                                           |  |
| 2c        | What percentage of budget could go to this solution reasonably?                                                         |  |
| 2d        | Annualize revenue (2b*2c) (Data Point 3)                                                                                |  |
| <b>3.</b> | <b>Comparables</b>                                                                                                      |  |
| 3a        | Who are the comparables for your business?                                                                              |  |
| 3b        | What are the comparable products?                                                                                       |  |
| 3c        | What is the comparable converted to similar annualized revenue (Data Point 4 plus however many more you deem relevant)? |  |
| <b>4.</b> | <b>Interpreting the Results</b>                                                                                         |  |
| 4a        | Consensus on estimate of annualized revenue per end user, based on the four Data Points above (a range is fine)         |  |
|           | How did you end up at this number/range?                                                                                |  |

The final items beyond Beachhead Market TAM are the other dimensions that are important to provide more meaning to the overall number. A \$10 million Beachhead Market TAM that has 99 percent profitability where you can win 100 percent market share in less than a year, which also happens to be growing at 30 percent a year, is totally different than a \$10 million Beachhead Market TAM with 10 percent profitability where you will only get 10 percent market share after three years of effort and the market is shrinking each year.

This information should be collected and then added in to fill out the Top-Down TAM Analysis Summary below to give a robust sense of the economic attractiveness of market characteristics of the Beachhead Market.

**Top-Down TAM Analysis Summary**

|   |                                                                                                                                                |                                                             |                      |  |
|---|------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------|----------------------|--|
| 1 | Total # of end users in the broad market segment                                                                                               |                                                             | Source/<br>based on: |  |
| 2 | Total # of end users in the targeted subsegment of your Beachhead Market                                                                       |                                                             | Source/<br>based on: |  |
| 3 | Annual monetizable revenue per end user                                                                                                        |                                                             | Source/<br>based on: |  |
| 4 | Estimate of top-down TAM (line 2 times line 3)                                                                                                 |                                                             |                      |  |
| 5 | Estimate of range of profitability for your product                                                                                            |                                                             | Source/<br>based on: |  |
| 6 | Estimated Compound Annual Growth Rate (CAGR)                                                                                                   |                                                             | Source/<br>based on: |  |
| 7 | Estimated time to achieve 20 percent market share                                                                                              |                                                             | Source/<br>based on: |  |
| 8 | Anticipated market share achieved if you are reasonably successful                                                                             |                                                             | Source/<br>based on: |  |
|   | What are the three top assumptions that could affect the attractiveness of the Beachhead Market for your product (besides the product itself)? | 1. _____<br>_____<br>2. _____<br>_____<br>3. _____<br>_____ |                      |  |

Based on this summary analysis, use the checklist below to assess whether your Beachhead Market is a good size:

**Checklist after TAM Analysis of Beachhead Market**

|   |                                                                                                                                                                                                                                                                      | Yes | No |
|---|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----|----|
| 1 | Is the market big enough to be interesting?                                                                                                                                                                                                                          |     |    |
| 2 | Is it reasonable in size for us to achieve meaningful word of mouth, meaning it is not too big?                                                                                                                                                                      |     |    |
| 3 | Is it possible to get to positive cash flow in this market in a reasonable period of time (typically three years, but it might be shorter or longer depending on the industry)? Note: This question takes into consideration the extra four factors described above. |     |    |
| 4 | Do we still feel good about this Beachhead Market as our initial market?                                                                                                                                                                                             |     |    |

If the answer to any of these is no, consider carefully before you move forward. Many of the high-profile entrepreneurs who have access to significant investment capital, or have a very strong personal balance sheet themselves, can ignore #3, but I would advise you not to ignore this question otherwise. It might be the second most important question for your survival. The most important question is the last one, because if you don't feel good about this market, you need to figure out why.

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### ADVANCED TOPICS: BOTTOM-UP TAM ANALYSIS

As mentioned, a bottom-up analysis is extremely powerful and gives you invaluable insights that are not generally possible through secondary research. Bottom-up analysis is also very time consuming and difficult to get information for. If you are unsure about your market or your commitment to this idea, skip this part and come back later when you are more confident about your Beachhead Market and have a deeper understanding of the market. Most plans rely on top-down analysis, and while I think it's insufficient, it is the reality that bottom-up analysis is much, much harder to do.

The below worksheet uses a concept called “end user density” that allows you to complete a bottom-up analysis without the need to identify every single end user in a market, since that process can be prohibitively expensive in terms of time consumed.

To calculate end user density, you'll first need some way to divide up the market into countable units. For instance, in the SensAble example in *Disciplined Entrepreneurship*, we sold to companies that employed industrial designers, and they defined their countable entity as overall number of employees. Their resulting “designer density” for their market was expressed as the number of designers per thousand employees.

For a consumer product, your countable unit could be population, a specific socioeconomic segment of the population, the number of people who own another product, and so on. For businesses it may be number of employees, revenue, products released each year, number of customers that company has, and the like. These units depend on your situation. Clever choice of countable unit for density will give credibility to your TAM estimate, so spend some time to optimize your choice on this unit, understanding it is still an estimate.

Once you have defined your countable unit, go to three instances of this unit and “count noses,” determining exactly how many end users are within that countable unit. Also determine how many people overall are in that countable unit.

Then, for each instance, determine what the annualized revenue per end user is, based on the unique circumstances of each instance. Do not guess; ask the people from this instance of the countable unit!

Bottom-Up TAM Analysis Worksheet

What countable unit are you using for end user density? \_\_\_\_\_

What are three instances (i.e., real, verifiable examples) of this countable unit you will be using to “count noses”?

1. \_\_\_\_\_
2. \_\_\_\_\_
3. \_\_\_\_\_

|                                                                                 | Instance 1=<br>_____ | Instance 2=<br>_____ | Instance 3=<br>_____ |
|---------------------------------------------------------------------------------|----------------------|----------------------|----------------------|
| Who did you speak to in order to gather this info?                              |                      |                      |                      |
| # of end users                                                                  |                      |                      |                      |
| # of people in the countable unit                                               |                      |                      |                      |
| Density ratio (# end users / # people in countable unit)                        |                      |                      |                      |
| How representative of the whole market do you believe this instance is?         |                      |                      |                      |
| In this instance, what is your estimate of the annualized revenue per end user? |                      |                      |                      |

Based on the above table, what is the reasonable estimate of the end user density? \_\_\_\_\_

What is the reasonable estimate of the annualized revenue per end user? \_\_\_\_\_

Based on the end user density, what is the reasonable estimate for the number of end users in the market? \_\_\_\_\_

What is the reasonable estimate for the TAM (# end users multiplied by annualized revenue per end user)? \_\_\_\_\_

| Four additional factors to consider:                                |           |                   |
|---------------------------------------------------------------------|-----------|-------------------|
| Estimate of range of profitability for your product:                | Based on: | Confidence Level: |
| Estimated compound annual growth rate (CAGR):                       | Based on: | Confidence Level: |
| Estimated time to achieve 20 percent market share:                  | Based on: | Confidence Level: |
| Anticipated market share achieved if you are reasonably successful: | Based on: | Confidence Level: |

1. Comparing your top-down and bottom-up analyses, which do you believe has more credibility? Why?

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2. If you blend the two estimations, what is your final TAM size? What factors would make the TAM lower than you calculated? What are the factors that would drive the TAM much higher?

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# STEP 5

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## Profile the Persona for the Beachhead Market

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### WHAT IS STEP 5, PROFILE THE PERSONA FOR THE BEACHHEAD MARKET?

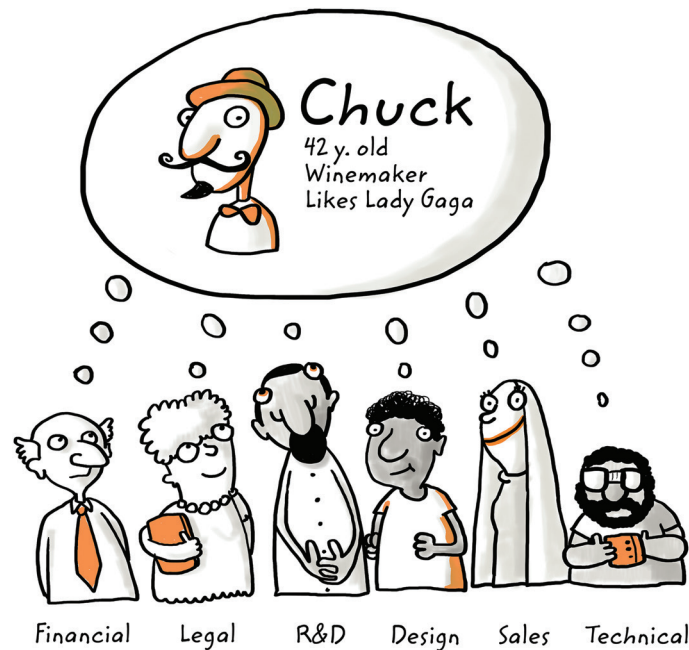
Identify one actual real end user in your Beachhead Market who best represents your End User Profile and do a detailed profile on that specific individual.

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### WHY DO WE DO THIS STEP, AND WHY DO WE DO IT NOW?

The Persona creates great focus in your organization and serves as a touchstone for all decisions going forward.

**By the Book:** See pages 69–76 of *Disciplined Entrepreneurship* for basic knowledge on this step. See pages 77–81 of *Disciplined Entrepreneurship* for examples of how different companies and teams have addressed this step.



*The Persona clarifies to everyone who is the final arbiter on key decisions on the product.*

## PROCESS GUIDE

The Persona is very similar to the End User Profile in Step 3, except that it is for one specific individual person and is much more in depth, resulting in an even clearer picture of your target end user.

As a startup, your challenge is to motivate a brand-new team to focus on solving a customer problem/opportunity in a completely new way, and you don't have the resources to let the team spend valuable time squabbling about which direction to go. Logical arguments based on numbers and concepts have their place, but what really pulls the team together and drives them forward is telling a story. Behavioral economists have known for decades that narratives are the most powerful way to motivate people.<sup>1</sup> The Persona is how your startup tells the story of who your customer is and why it matters that you are solving your customer's pain.

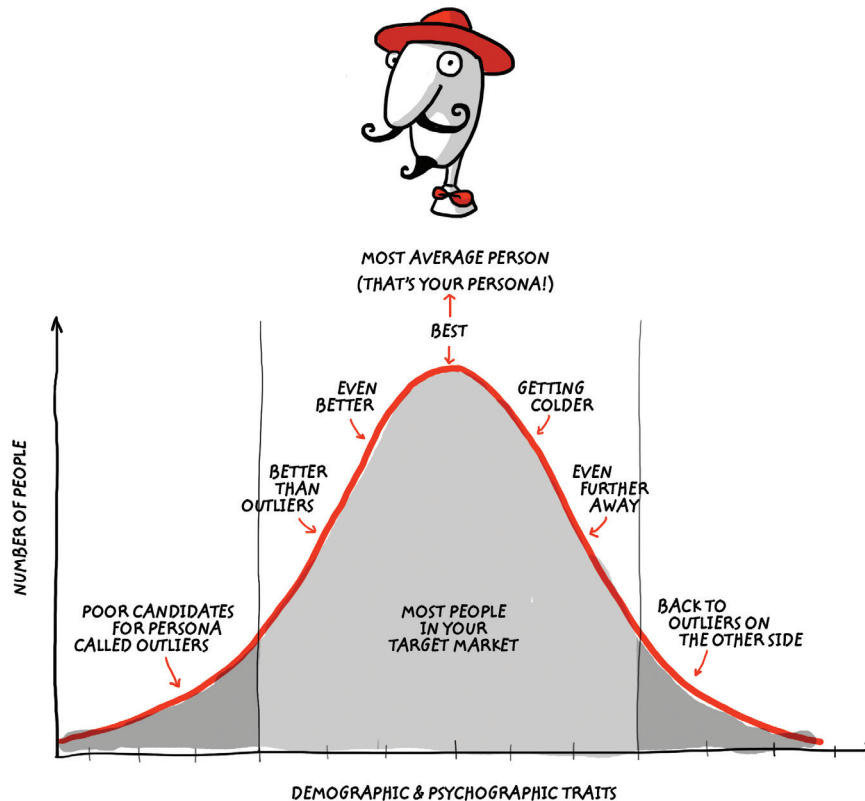
As such it is important that the person you choose for your Persona accurately represents your broader End User Profile from Step 3. You should not just take the first willing person or simply choose someone on your team, but rather find the person who is the best you can get. In technical terms, this person sits at the middle of the bell curve and is not an outlier.

The Persona focuses and motivates you and your team to make the right product design decisions as well as all the other decisions needed around the product (e.g., business model, pricing, distribution, messaging) for you to be successful. It takes conversations that would otherwise be abstract debates and makes them concrete, actionable questions. What would the Persona want and find most valuable?

The Persona is a very simple way to keep the focus in the right place. As I always said at my companies, "Keep the main thing the main thing."

The downside of this approach is that no one person can fully represent your target end user in all dimensions, but starting with a focused Persona and adjusting when you think it is leading you astray

<sup>1</sup>For more on the power of the narrative, see *Made to Stick* by Chip and Dan Heath and *Why David Sometimes Wins: Leadership, Organization, and Strategy in the California Farm Worker Movement* by Marshall Ganz.



*The Persona is the best representative of the broader target market segment in all dimensions.*

from your End User Profile is better than not having focus at all. Entrepreneurs have limited resources and time, so you need to create action and a strong, unified team to fight the existing hierarchy of status quo and inertia. You can update the Persona later, especially in Step 9, Identify Your Next 10 Customers, so make your best guess now and keep the process moving because you don't learn without action.

A question I frequently get is whether a member of the founding team can be the Persona. Teams with members who come from the target customer group start the process with deep domain expertise, which is extremely valuable. In fact, this is often the case for many of my classes' most successful teams. If you don't have someone on your team with deep domain expertise in the market you are focused on and who is from the target end user group, you will have to find someone like that and add them to your team early on. When you do, you will be amazed at the insights that person provides.

On the other hand, when you go to the extreme and appoint a member of the founding team as your Persona, you don't know if you've truly found the middle of the bell curve, the person who best exemplifies the target end user group. I have seen it work well, but I've also seen it fail spectacularly. You must be constantly vigilant to analyze whether your Persona is a valid choice, and it can be hard for people to step back and realize they are not the best representation of the broader market. The founder's humility and the strength of the team to hold the founder Persona accountable are key in making it work. In general, I encourage you to use a Persona who is external to your company.

To create the Persona profile, see the two worksheets at the end of this chapter, the General Information on Persona and the Persona Profile for Beachhead Market, which will step you through the information you need to consider in your profile. You may find additional information becomes relevant or some of the fields on the worksheet are not relevant. Make a profile that fits your Persona.

In addition, here are some things to consider when building your Persona:

- It must be a real person. I know this might feel a bit like stalking someone, but marketing researchers have been doing this for years. Keep the details within your team and this can be overcome.
- Make it visual and omnipresent. Your Persona won't motivate people if it's a few paragraphs of text sitting on a dusty shelf. Jeff Bezos at Amazon often insists that an empty chair representing the customer be present at important meetings. What would the customer think? How does your decision create value for that person?
- Specificity is good. Definitely err on the side of too much detail rather than too little, especially at first, but then remove the details that don't add value. If the details explain the mindset of the Persona despite not being directly related to the product, those details are still valuable. However, if they're not directly related to the product and don't provide insight about how the Persona thinks, they are just distractions. Take them out!
- It is very important to do this as a team exercise. Just getting the result and then passing it out to the rest of the team is far less effective than having the team involved as the description of the Persona is being created. If possible, have them involved as well in the discussions and observations with the Persona. The more understanding and buy-in you get from your team on the Persona, the more alignment you will have going forward as a company, and that will make all the difference.

Once you have the Persona, you will start to focus on what you can do to add value for that Persona.

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## GENERAL EXERCISES TO UNDERSTAND CONCEPT

*See the back of the book for answers to these questions.*

1. Which advertisement do you think will be more effective to get people to donate money? Why?
  - a. According to the World Food Programme, 795 million people in the world do not have enough food to lead a healthy, active life. The vast majority of the world's hungry people live in developing countries, where 12.9 percent of the population is undernourished. Poor nutrition causes 3.1 million deaths in children under 5 years of age each year, roughly 100 million children in developing countries are underweight, 66 million primary school-age children attend classes hungry across the developing world, and the World Food Programme calculates that \$3.2 billion is needed per year to reach all 66 million hungry school-age children. Will you donate today for this cause?
  - b. Raj Shah is 12 years old and lives in New Delhi. Here's a picture of him and his family. He works in the mornings and evenings to support his mother, Anjali, who is unable to make enough money for her family because she has limited mobility from diabetes, and she also has to take care of her parents. Raj also has to take care of his younger sister, Tanya, who is 7 years old. Raj is trying to go school but having a very hard time because he does not have a nutritious diet, which not only makes him lethargic and unable to focus at school, but can seriously stunt the full development of his brain. Raj has barely eaten anything for 3 weeks

now, and certainly nothing healthy, as he is just picking up scraps from what others throw out. There is a good chance that if he does not get a good meal in the next two weeks, he will suffer permanent damage to his brain and body, which will affect his ability to support his extended family. By the way, this is just the story of one child going to school hungry, but there are 66 million of them around the world. Won't you give \$50 to help children like Raj to help themselves and their families?

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2. What is the bigger challenge for a startup (circle one):
- a. Having enough time to research and figure out the best strategy.
  - b. Motivating people to keep making progress so that you can generate momentum and convince others to join you.
3. Persona or Not: When you see a spokesperson for a product, like LeBron James for Kia Motors or Jessica Alba for The Honest Company, are they the Persona? If not, who are they?

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## WORKSHEETS

### General Information on Persona

|   |                                                                                                                                                                                                                                      |                                                                                                       |
|---|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------|
| 1 | What is the name of your Persona?                                                                                                                                                                                                    |                                                                                                       |
| 2 | Where did you source this person from?                                                                                                                                                                                               |                                                                                                       |
| 3 | What types of biases are possible with this Persona? (e.g., it is a friend/relative who won't be as honest, the Persona is a potential customer so you might advocate for your product too early instead of staying in inquiry mode) |                                                                                                       |
| 4 | What will you do to mitigate these biases as you work with the Persona?                                                                                                                                                              |                                                                                                       |
| 5 | What kind of access do you have to the Persona? (Be careful to use their time wisely because they are not as motivated as you by your process.)                                                                                      |                                                                                                       |
| 6 | What do you see as the strengths of this Persona?                                                                                                                                                                                    |                                                                                                       |
| 7 | What do you see as the weaknesses of this Persona?                                                                                                                                                                                   |                                                                                                       |
| 8 | I agree I will revisit this Persona to see if it is the best Persona on an ongoing basis, especially after Step 9, Identify Your Next 10 Customers, and change if a better one is found and willing.                                 | <input type="checkbox"/> Yes (good answer)<br><input type="checkbox"/> No ("No" is not a good answer) |

## Persona Profile for Beachhead Market

|                                                                                                                             |  |
|-----------------------------------------------------------------------------------------------------------------------------|--|
| <br>Add a visual image of the Persona here |  |
| Name                                                                                                                        |  |
| Address                                                                                                                     |  |
| E-mail and phone                                                                                                            |  |
| Title (if appropriate)                                                                                                      |  |
| If business-to-business (B2B), where they exist in the overall org chart                                                    |  |
| <b>Demographics:</b>                                                                                                        |  |
| Gender                                                                                                                      |  |
| Age                                                                                                                         |  |
| Income                                                                                                                      |  |
| Education level                                                                                                             |  |
| Education specifics (schools, majors, awards, etc.)                                                                         |  |
| Employment History (companies, jobs, awards, etc.)                                                                          |  |
| Marital status                                                                                                              |  |
| Kids and other family info                                                                                                  |  |
| Ethnicity                                                                                                                   |  |
| Political affiliations                                                                                                      |  |
| Other demographic 1:                                                                                                        |  |
| Other demographic 2:                                                                                                        |  |
| Other demographic 3:                                                                                                        |  |
| Other demographic 4:                                                                                                        |  |
| <b>Psychographics:</b>                                                                                                      |  |
| Why do they do this job or live the life they do?                                                                           |  |

|                                                                                                                |  |
|----------------------------------------------------------------------------------------------------------------|--|
| Hobbies                                                                                                        |  |
| Heroes                                                                                                         |  |
| Aspirations in life                                                                                            |  |
| Fears in life                                                                                                  |  |
| Personality traits                                                                                             |  |
| Interesting habits                                                                                             |  |
| Other psychographic 1:                                                                                         |  |
| Other psychographic 2:                                                                                         |  |
| Other psychographic 3:                                                                                         |  |
| Other psychographic 4:                                                                                         |  |
| <b>Proxy Products (which products have the highest correlation with your Persona)</b>                          |  |
| Is there a product or products that the Persona needs to have in order to get benefit from yours?              |  |
| Are there products the Persona uses that embody the psychographics and demographics from the end user profile? |  |
| Any other unusual or interesting products of note that the Persona has?                                        |  |
| <b>Watering Holes (real or virtual places where the Persona interacts with others like him or her):</b>        |  |
| Favorite sources for news (e.g., which newspapers, TV shows, websites, blogs)                                  |  |
| Places where Persona congregates with other similar people                                                     |  |
| Associations Persona belongs to and the importance of each                                                     |  |
| Where does the Persona go for expert advice and/or to get questions answered?                                  |  |



|                                                                                                                                                                 |                                                                                                           |
|-----------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------|
| <b>Day in the Life (describe a day in the life of the end user and what is going on in this person's head):</b>                                                 |                                                                                                           |
| What are the typical tasks the Persona does each day, with the amount of time associated with each?                                                             |                                                                                                           |
| Which of these typical tasks are habits?                                                                                                                        |                                                                                                           |
| Which require the most effort?                                                                                                                                  |                                                                                                           |
| Which does the Persona enjoy?                                                                                                                                   |                                                                                                           |
| Which does the Persona not enjoy?                                                                                                                               |                                                                                                           |
| What makes it a good day for the Persona?                                                                                                                       |                                                                                                           |
| What makes it a bad day?                                                                                                                                        |                                                                                                           |
| Who is the Persona trying to please the most?                                                                                                                   |                                                                                                           |
| What is the top priority of the person/people the Persona is trying to please?                                                                                  |                                                                                                           |
| <b>Priorities:</b>                                                                                                                                              |                                                                                                           |
| Priorities (what are your Persona's priorities—focus first on biggest fears, then biggest motivations—and assign a weighting to each so that it adds up to 100) | 1. _____ Weighting: _____                                                                                 |
|                                                                                                                                                                 | 2. _____ Weighting: _____                                                                                 |
|                                                                                                                                                                 | 3. _____ Weighting: _____                                                                                 |
|                                                                                                                                                                 | 4. _____ Weighting: _____                                                                                 |
|                                                                                                                                                                 | 5. _____ Weighting: _____                                                                                 |
|                                                                                                                                                                 | Now, revisit the General Information worksheet and update as needed, especially for items 3, 4, 6, and 7. |

**Note:** These worksheets are meant to guide you but not constrain you. The Persona should paint a rich picture and convey important information about your target market, so feel free to customize this worksheet as appropriate.

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### ADVANCED TOPIC: PERSONA PROFILES FOR MULTISIDED END USER MARKET

How do you build a Persona profile when you have multiple types of end users for your startup, such as with the increasingly common platforms being built today? The fundamental concept is the same, designating one Persona for each type of end user, but the Persona profiles must be coordinated and consistent with each other.

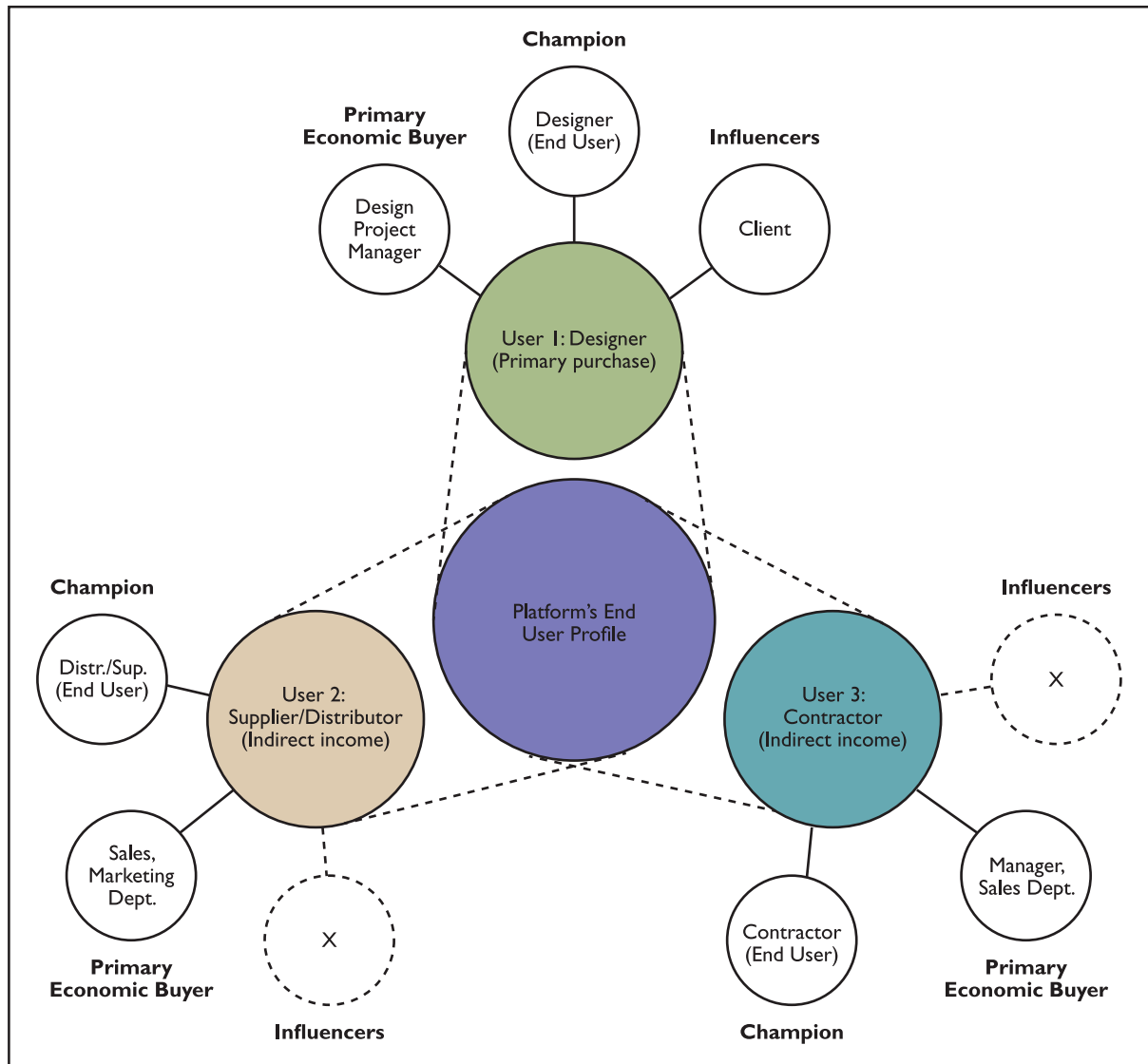
Awa Kone, Jeronimo van Schendel, Lisa Tacoronte, and Benedita Sampaio e Mello took my class at MIT and worked on a project to create a platform, dubbed “BuildLine,” to help designers, contractors, and suppliers to better collaborate when turning ideas into tangible products by making relevant peer connections and facilitating the project management process.

While the team had some significant domain expertise in this field, they chose wisely to make the Personas people other than themselves. You will see excellent Personas for all three sides of the proposed new venture (but not perfect, as they never are, especially for a one-semester course where so much has to be covered).

You’ll notice how they handled and coordinated all three sides of the end user market. I really like the detail summarized in one slide for each Persona, so you get a rich understanding of each Persona and can quickly determine what is most important to each, which is highly beneficial when you have to make decisions keeping three Personas in mind instead of just one.

I would have liked to see more on product proxies and watering holes, and at times I felt like their profiles veered more toward advocacy for the product as opposed to focusing solely on understanding who the Personas are, but all in all, they did a tremendous job!

First, an overview of the players in BuildLine:



Then, the three Personas for BuildLine:

## PERSONA 1/3

### John Smith

*New York City Architect*

**ESSENTIALS**

Age: 41  
Family: Wife and 2 kids  
Originally from outside the United States.

**EDUCATION & CURRENT POSITION**

School and Degree: Master's in Architecture from an architecture or technology school (name of school omitted for this workbook).  
Years in industry: 4-15 years.  
Title: Chief Architect and Co-founder of his own boutique firm.  
Income: Amount of office profit omitted for this workbook.  
Key responsibilities: manage project, stakeholders, lead designer and visionary, source and approve contractors & suppliers

Photograph of him goes here  
(omitted for this workbook)

**Demographics, facts + Psychographics**

**HIS OFFICE**

Successful or award-winning architectural firm. Small to medium size with 5-20 employees ranging from principals to designers and about 3-4 levels of hierarchy. Clients range from museums to airports, art galleries, and other companies for redesign of their offices.

**IN THE MIRROR...WHAT HEVALUES**

He believes his work happens at the cross-section of architecture, academia and the arts. He values creativity, intellect, innovation, and artistic originality. He appreciates simplicity and clean lines. Functionally elegant with a non-obtrusive form. He also values efficiency, hard work, and passion in the design he produces.

**ONE WEEK WITH HIM**

Working hours: ~10-12 hours per day on average. Typical day: May begin at 6 or 8am and end at 6 or 8pm.

Starts with the latest architectural news in publications, blogs, and magazines. Answers emails, reviews new proposals and current project statuses, attends morning team update meetings with senior associates. In the afternoon he attends client meetings and throughout the day he works on sketches, software drawings, fields phone calls, checks in on consultants, contractors and suppliers for progress.

Summary of typical weekly objectives/tasks:  
Review and approve proposals.  
Lead sketches and virtual drawings for the client  
Make decisions in existing projects to move through phases.  
Check in with key stakeholders and progress of materials and projects.

**And his priorities are:**

| Professional                                          | Personal                        |
|-------------------------------------------------------|---------------------------------|
| Quality designs within budget and time                | Family.<br>Wife and kids.       |
| Recognition in industry and academia (nice projects). | Intellectually keeping abreast. |
| His staff                                             | Health and wellbeing            |

**HIS DREAMS**

Become a leading voice in the architectural field. He hopes to make it into renowned textbooks as gold standards for architectural design of his time. He would like his firm to remain as a boutique business but be able to increase its income at little cost. On a personal level, he loves his children, and wants them to likewise succeed artistically and intellectually.

**ALSO FEARS AND FRUSTRATIONS...**

Lack of stable work for his firm and not being able to provide for staff and family.

Frustrated with the increasing cost of and time spent finding and securing contractors and suppliers, and time spent negotiating budget and time constraints with clients.

He fears erosion of margins on his projects as clients begin negotiating harder on his fees.

Frustrated with the lack of trust and quality of his collaborators, risking his own reputation.

## PERSONA 2/3

**Jane Frank**  
New York City Architect

**ESSENTIALS**

Age: 35  
Family: Recently married. One young kid.  
Originally from NYC.

**EDUCATION & CURRENT POSITION**

School/major, current position, and salary  
omitted for this worksheet.

**HER OFFICE**

Works in the brand's flagship store. Designers and clients from all over the city come to see their products. She manages the Bathroom section, where there are two other employees.

She receives the people and presents the collection, then she derives them to others, who repeat over and over the characteristics of each variant. People come between one and four times before deciding about a product.

She needs to push for sales, and keep up with trends.

**ONE WEEK WITH HER**

Typical day: (10am to 8pm, Mon-Sat) 50% of time at her desk, 50% speaking to clients.

Events outside the routine: items renovation, reorganizing the product exhibition, organizing sales campaigns. A lot of fairs...

Typical weekly objectives: sell, sell, sell.  
Manage stock.

Photograph of her goes here  
(omitted for this workbook)

**IN THE MIRROR...WHAT SHE VALUES**

She sees herself as someone with a sort of objective sense of taste, but more than anything with knowledge of what's next in the decoration field, so she can tell you what to use, what to buy, depending on who you are.

As a person, she is completely of the social kind, really open and dynamic always interested in consuming trends and up to date, more than in deeply understanding any of them.

**HER DREAMS AND WATERING HOLES**

Deep in her heart, she would love to apply that taste sense to open her own store or interior design studio, for the moment this paycheck seems logical, and she can also do that on the side, until one day...

Anyway, that dream does not prevent her from sleeping. This aspect is important, but as much as having fun, having a family and keeping in contact with trends.

Waterholes are generally the place where she mixes with admired people: design exhibitions, show room openings, fairs, where she works, and any related ones.

**Demographics, facts + Psychographics****And her priorities are:**

| Professional                                                               | Personal                                                     |
|----------------------------------------------------------------------------|--------------------------------------------------------------|
| Sell, sell, sell.<br>Capture clients, if they are not individuals, better. | Family and friends.                                          |
| Maintain high presence in the field's events.                              | Image, relation with the right people, a door to her dreams. |
| Keep up with stock and showroom.                                           | Income.                                                      |

**ALSO FEARS AND FRUSTRATIONS...**

This job is quite active, but not as creative as she can be. Will staying here mean renouncing or losing some of her capacities? And on the other hand, she cannot quit like that... Any other design option is risky.

Family and friends are very important, anything that contradicts that seems inappropriate.

Finally, her environment is quite a high-end one. She fears not keeping up with the page in that job.

## PERSONA 3/3

**Peter MacDonald**  
*New York State Contractor*

**ESSENTIALS**

Age: 45  
 Family: Wife and 2 kids (ages omitted for this workbook).  
 Originally from upstate New York.

**EDUCATION & CURRENT POSITION**

School/major, current position, and salary omitted for this worksheet.

**HIS OFFICE**

His office is half in the construction fields, half in the company headquarters. He is pretty much on the phone every day at every moment, managing people and fighting to keep risk under its limits. He decides everything—the sales, the relationships, the subcontractors...

He has three employees who are direct collaborators, who can strongly influence his decisions: the crew and materials coordinator, the 2nd chief engineer, and the budget manager. The rest are interpreting drawings, sourcing materials and people, and bidding constantly.

**ONE WEEK WITH HIM**

Construction works starts early (7am) in the morning, and can go until very late. Usually has several important field visits per day. He moves in a pick-up from building sites to clients' offices, to product factories, etc.

Events outside the routine: every day there is one issue to solve. But bidding is the most important moment, where everything needs to be played at one time.

Photograph of him goes here  
 (omitted for this workbook)

**IN THE MIRROR...WHAT HE VALUES**

He is a "doer" with a fairly high amount of technical expertise. He is a simple person, with a certain taste for craftsmanship. He can find a point of connection with designers through it, although he does not really understand what's the point on worrying so much for minor or overcomplicated things. Overall he has a sense of practicality, which he puts on top of every decision and work he makes.

Although he likes his work and he needs it to feel alive, he is not extremely attached to what he does, apart from the sense of pride of well-done work.

His family is the most important thing.

**Demographics, facts + Psychographics****And his priorities are:**

| Professional                                            | Personal                                                   |
|---------------------------------------------------------|------------------------------------------------------------|
| Getting new works.<br>Winning bids.                     | Family.<br>Wife and kids.                                  |
| Finding and managing the right people (subcontractors). | Wealth. Not excessive, but to maintain a fairly good life. |
| Reducing risk as much as possible.                      | Doing interesting work.                                    |

**HIS DREAMS!!!**

Making his company grow. Working in bigger and bigger challenges.

Finding works that are different to what everybody does.

Becoming a recognized working expert in some particular field of construction.

A house for vacations in a beautiful countryside landscape. And a future for his family.

**ALSO FEARS AND FRUSTRATIONS...**

Professionally, he fears three types of risk:

- Risk for underpricing a work in a bid—losing money.
- Risk for technical problems which imply overexpenses.
- Risk for his or his workers' health. In the construction field, accidents can happen very easily.